East Asia and the Pacific

Macro Poverty Outlook

Country-by-country Analysis and Projections for the Developing World

Annual Meetings 2024

WORLD BANK GROUP
Macroeconomics, Trade & Investment
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East Asia and the Pacific

Annual Meetings 2024

Cambodia
Central Pacific Islands
China
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North Pacific Islands
Papua New Guinea
Philippines
Solomon Islands
South Pacific Islands
Thailand
Timor-Leste
Viet Nam

CAMBODIA

Table 1	2023
Population, million	16.9
GDP, current US$ billion	42.8
GDP per capita, current US$	2524.6
School enrollment, primary (% gross)[a]	110.0
Life expectancy at birth, years[a]	69.9
Total GHG emissions (mtCO2e)	76.3

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent WDI value (2022).

Cambodia's real GDP growth is projected to reach 5.3 percent in 2024, compared to 5.0 percent in 2023, driven mainly by services and goods exports. Amid the economic expansion, household income growth is expected to improve, partially reversing the pandemic-related increase in poverty. Downside risks include weaker-than-expected global growth, especially in China. Domestically, a faster-than-expected increase in non-performing loans could affect macro-financial stability as the housing market correction continues.

Key conditions and challenges

Economic activity continued to expand during the first half of 2024, largely driven by a revival of services and goods exports. Meanwhile, rising remittances and tourism receipts helped to offset a sizable merchandise trade deficit with the current account balance projected to remain positive this year. This helped ease pressures on the exchange rate. Gross international reserves rose to US$20.0 billion, an 8.5 percent year-on-year (y/y) increase from June 2023, covering about 7 months of prospective imports. High global interest rates and decelerating credit growth continue to affect Cambodia's financial sector. Nonperforming loan ratios rose to 6.8 percent and 8.3 percent for the banking and microfinance sectors, respectively by mid-2024, indicating a further deterioration of asset quality amid the ongoing downturn in the property sector. The economic expansion is expected to support the recovery of household incomes, partially reversing the pandemic-related increase in poverty. Over the medium term, reforms to improve the investment climate and the skill levels of its labor force would boost Cambodia's potential growth.

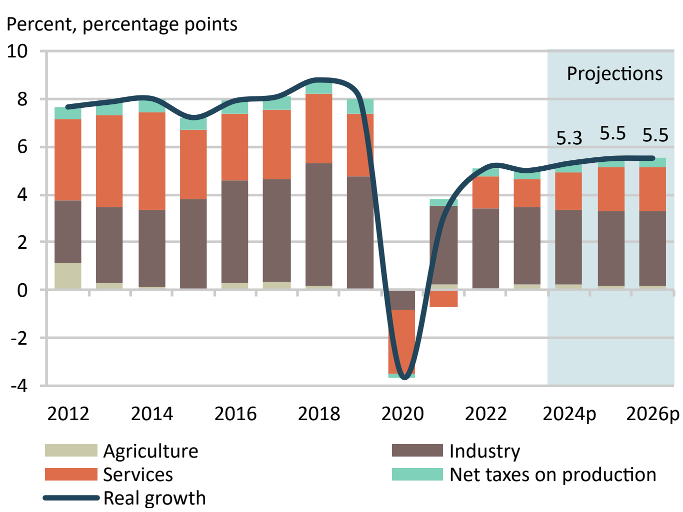
Recent developments

Cambodia has benefited from a rebound in external demand and trade. During the first half of 2024, goods exports expanded by 8.4 percent y/y, driven largely by garment, travel goods, and footwear products. Meanwhile, international tourist arrivals also continued to rise, expanding at 22.7 percent y/y, reaching 3.6 million tourists. Tourist spending also continued to recover, indicated by Angkor Temple revenue collection growing at 33.7 percent y/y. Despite the recovery, both arrivals and especially tourist spending remain below pre-pandemic levels, standing at 94.8 percent and 43.4 percent of the 2019 level, respectively.

While remaining subdued, caused mainly by the marked slowdown in domestic credit growth, private consumption has partly recovered. During the first seven months of 2024, top ticket items of imported nondurable consumer goods, which include diesel, electronic equipment, gasoline, foodstuff, garments, and soft drinks initially expanded by 16.8 percent, 30.3 percent, 25.1 percent, 13.5 percent, 20.1 percent, and 15.3 percent, respectively, while imports of all kinds of motor vehicles combined, representing a key durable consumer goods item grew at 14.6 percent year-over-year.

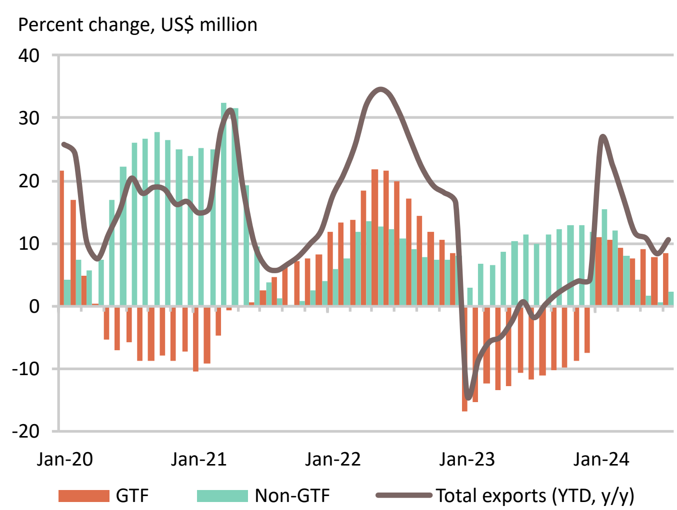
Although privately financed real estate and property construction activities remain subdued, private and public investments in large physical infrastructure projects such as roads, bridges, and ports including a US$1.7 billion canal have boosted construction services. During the first seven months of 2024, imports of construction equipment and steel grew at 17.0 percent and 63.4 percent, respectively. Meanwhile, imports of cement contracted by 11.7 percent likely due to rising domestic production.

FIGURE 1 Cambodia / Real GDP growth and sectoral contributions to real GDP growth



Sources: Cambodian authorities and World Bank staff projections.
Notes: e = estimate; p = projection.

FIGURE 2 Cambodia / Merchandise exports, levels and growth rate



Source: Cambodian authorities.
Notes: GTF = garment, travel goods, and footwear (and other textile products); YTD = year-to-date; y/y = year-on-year.

Since 2023, domestic credit growth has experienced a significant slowdown. First, owing to stalled property construction activity, the demand for domestic credit by the real estate and property construction sector has plummeted. Second, higher interest rates and lower real disposable income have contributed to the sluggish credit demand by households and firms. As a result, credit sharply decelerated to 3.8 percent y/y, a 15-year low in June 2024. During the first six months of 2024, domestic fiscal revenue collection stagnated, growing at 0.8 percent y/y, while government expenditure expanded at 3.7 percent. Government deposits (fiscal reserves) remained relatively healthy at 10.8 percent of GDP in June 2024 and public debt remained low, estimated at 27.5 percent of GDP by end-2023.

The export recovery has led to improved labor market conditions, in turn partly reversing pandemic-related increases in poverty. In June 2024, jobs in the formal manufacturing sector which accounted for 19.0 percent of nonfarm employment grew at 7.0 percent y/y, marginally supporting household consumption. The pandemic hit households hard – consumption per capita declined by almost 20 percent in 2021 from the level recorded in 2019/20 when the poverty rate was 17.8 percent. A comprehensive social protection program, the Family Package, was launched in April 2024 to support poor and vulnerable households. The program has benefited nearly 2.2 million people or 559,000 households. Of which 269,000, 33,400, 10,400, and 1,400 are elderly aged over 60, pregnant women and children under 2 years old, people with disabilities, and people living with HIV/AIDS, respectively. As of July 2024, the Family Package program had disbursed US$20.1 million since its launch on April 30, 2024.

Outlook

Using the newly rebased national accounts data, this year's economic growth is projected to reach 5.3 percent, compared to 5.0 percent in 2023, driven mainly by services and goods exports. Economic growth should translate into a decline in poverty, reversing part of the projected increase in poverty caused by the pandemic.

Cambodia's real GDP growth is projected to marginally improve, reaching 5.5 percent in 2025 and 2026. The country's economic growth remains slower than during the pre-COVID-19 period, owing to continued external headwinds, emerging structural bottlenecks, and lasting scars of the COVID-19 pandemic. While foreign direct investment inflows are expected to pick up with newly ratified free trade agreements and a substantial increase in private and public investment in key physical infrastructure, daunting challenges facing the business environment, investment climate, energy, logistics, trade facilitation, skilled labor force, and learning outcomes remain. Downside risks include weaker-than-expected global growth, especially in China which is Cambodia's main source of foreign direct investment and tourism receipts, could dampen growth prospects. Given the country's relatively high level of private debt, a faster-than-expected increase in non-performing loans could affect macro-financial stability while weighing on private investment and growth.

TABLE 2 Cambodia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices	3.1	5.1	5.0	5.3	5.5	5.5
Private consumption	-2.4	5.2	-0.2	0.7	3.3	3.4
Government consumption	12.3	-1.2	35.1	5.3	7.5	8.5
Gross fixed capital investment	4.7	5.4	-26.7	12.3	-3.4	-0.2
Exports, goods and services	6.1	21.3	6.9	8.8	10.4	8.7
Imports, goods and services	1.9	18.6	-12.4	7.3	4.9	5.1
Real GDP growth, at constant factor prices	3.0	5.1	5.0	5.3	5.5	5.5
Agriculture	1.5	0.6	1.6	1.6	1.4	1.5
Industry	8.4	8.2	7.6	7.2	7.1	6.9
Services	-1.8	3.6	3.4	4.5	5.2	5.4
Inflation (consumer price index)	2.8	5.5	2.1	2.2	2.2	2.2
Current account balance (% of GDP)	-29.1	-18.8	1.3	1.7	0.6	-0.7
Net foreign direct investment inflow (% of GDP)	9.2	8.7	8.5	8.8	8.7	8.6
Fiscal balance (% of GDP)	-5.1	-3.2	-5.1	-3.0	-3.3	-3.2
Revenues (% of GDP)	16.2	17.2	15.9	15.4	15.4	15.3
Debt (% of GDP)	26.5	27.0	27.5	26.9	27.4	27.4
Primary balance (% of GDP)	-4.8	-2.9	-4.8	-2.6	-2.9	-2.8
GHG emissions growth (mtCO2e)	0.5	-0.6	-0.1	-1.4	-0.7	-1.9
Energy related GHG emissions (% of total)	18.4	17.4	16.6	14.7	13.4	11.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

CENTRAL PACIFIC ISLANDS

Table 1	KIR	NRU	TUV
Population, million	0.13	0.01	0.01
GDP, current US$ billion	0.22	0.15	0.06
GDP per capita, current US$	1702	11914	4908
LMIC poverty rate ($3.65)	19.5[a]	20.9[b]	19.6[c]
Gini index	27.8[a]	32.4[b]	39.1[c]

Source: WDI, World Bank, and official data.
Notes: The actual year for the table data is 2022.
Abbreviations: LMIC = Lower middle-income;
KIR = Kiribati; NRU = Nauru; TUV = Tuvalu.
a/ Most recent value (2019), 2017 PPPs.
b/ Most recent value (2012), 2017 PPPs.
c/ Most recent value (2010), 2017 PPPs.

In Kiribati a large pre-election increase in public sector wages will support growth. In Tuvalu, development priorities are being shaped by the 2024 Falepili Union Treaty, which allows Tuvaluans to emigrate to Australia. In Nauru, the Regional Processing Centre renewal will delay a fiscal cliff. In the longer term, each country will need to address a narrow economic base and climate vulnerability to promote growth and reduce poverty.

Key conditions and challenges

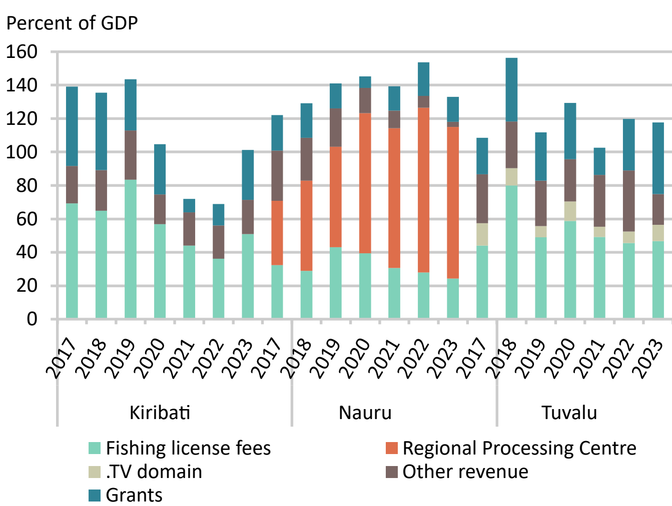
The Central Pacific faces major exogenous challenges like climate change, small size, and remoteness; and endogenous challenges like concentrated, import-reliant, and volatile economies. All three countries have sizeable trust funds to stabilize volatile fiscal revenues and provide long-term development financing. However, they all must diversify their fiscal revenues to reduce volatility and effectively fund high recurrent spending.

Kiribati has a highly centralized economy, with public expenditure at 102 percent of GDP in 2023. Recurrent spending has recently expanded on public wages, social protection, and the copra subsidy. This spending has benefited the country's poor but is distorting goods and labor markets, and creating fiscal vulnerabilities as volatile fishing revenues account for over two-thirds of revenues. The most recent IMF-World Bank LIC-DSA report from April 2024 ranks Kiribati's external debt, which stands at 12 percent of GDP, as sustainable but at high risk of debt distress. To address these challenges, Kiribati must curtail recurrent spending, foster private enterprise, and stabilize fiscal revenues using their sovereign wealth fund.

Nauru's economy has historically relied on phosphate mining, fishing, and operating Australia's Regional Processing Centre (RPC) for refugees. However, phosphate deposits are heavily depleted and fishing revenues are volatile. The RPC was to be placed on standby in 2023, but was renewed in 2024 and now has approximately 100 refugees. In FY24, income from the RPC and associated activities constituted 67 percent of fiscal revenues and 90 percent of GDP. With RPC earnings uncertain, Nauru must find sustainable sources of growth. The latest assessment from the IMF's DSA in September 2023 found Nauru's public debt, accounting for 20.2 percent of GDP, to be sustainable. In recent years there have been significant reductions in domestic and external liabilities. Nauru grapples with environmental challenges from climate change and the legacy of phosphate mining. Rehabilitating extensive former mine sites at the center of the island remains a priority.

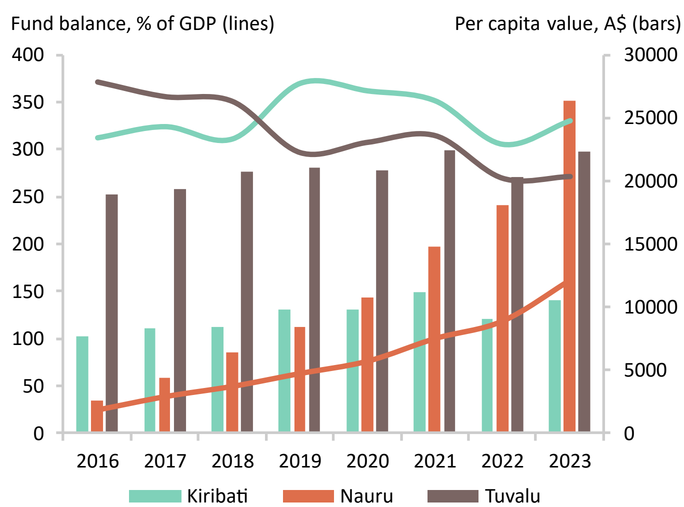
Tuvalu is one of the smallest and most climate-exposed countries in the world. The public sector dominates the economy and private sector development is limited by inadequate infrastructure and small economies of scale. The size of the economy, extreme remoteness, high import dependence, and vulnerability to external shocks pose significant challenges to development poverty reduction. Recent data on poverty is unavailable, but in 2010 an estimated 26 percent of the population lived below the national poverty line. Structural reforms are essential to promote resilience, sustain growth, and encourage diversification. The 2023 IMF-World Bank DSA assesses Tuvalu at high risk of debt distress, but debt is deemed sustainable.

FIGURE 1 Central Pacific Islands / Selected fiscal revenues, 2017-2023



Sources: Country authorities; World Bank and IMF staff estimates and projections.
Notes: Nauru data are June years; Kiribati and Tuvalu are calendar years.

FIGURE 2 Central Pacific Islands / Sovereign wealth funds, 2016-2023



Sources: Country authorities; World Bank and IMF staff estimates and projections.
Notes: Nauru data are June years; Kiribati and Tuvalu are calendar years. The Nauru Trust Fund was established in 2016.

Recent developments

In **Kiribati**, strong fishing revenues from favorable weather conditions and the Phoenix Islands Protected Area reopening lifted growth to 4.2 percent in 2023. However, El Niño conditions are likely to reduce fishing revenues by at least 10 percent below the US$160 million projected for FY24. Average inflation in 2023 was 9.3 percent, due to higher food, beverage, and transportation prices in the first half of the year. We estimate growth reduced poverty to 13.9 percent in 2023 (US$3.65 lower-middle-income line), below 19.5 percent in 2019. Domestic demand continues to be supported by high recurrent spending, which led to a fiscal deficit of 1 percent of GDP after budget support in 2023. The RERF was worth 340 percent of GDP in June 2024, down from 370 percent in 2019 due to volatile investment returns and GDP growth.

Nauru's economy is estimated to have grown by 1.8 percent in FY24 (ending June 2024). Inflation was 4.7 percent, lifted by global factors. Budget support increased from 3.7 percent of GDP in FY23 to 22 percent in FY24, including new support from the People's Republic of China. This led to a surplus worth 17 percent of GDP in FY24. The Government also made prepayments into the Intergenerational Trust Fund which was 152 percent of GDP in March 2024, up from 111 percent in June 2022.

In **Tuvalu**, the economy rebounded by 3.9 percent in 2023 due to gains realized from the border reopening in December 2022, the full resumption in infrastructure projects, increased government consumption, and support from development partners. Annual inflation has slowed in 2023 but remained elevated at 7.2 percent from a peak of 12.1 percent in 2022. A current account surplus of 11.1 percent of GDP and fiscal surplus of 6 percent of GDP in 2023 were due to high grants and sustained fishing revenue. Public debt continued to decline in 2023 to 5.4 percent of GDP. The sovereign wealth funds decreased from 314 percent of GDP in 2021 to 271 percent at end-2023.

Outlook

In **Kiribati**, growth is expected to increase to 5.8 percent in 2024 due to a 38 percent increase in public sector wages before the election. This is forecast to increase the budget deficit to 22 percent in 2024 and make Kiribati a regional outlier in the share of GDP spent on public employment. It will be funded by loosening the RERF withdrawal policy, which has compromised the fund's institutional integrity and will deplete its balance over time. A rule that withdraws up to 3 percent of the fund each year would allow annual withdrawals, make budgeting easier, and grow the real value of the fund over time. The RERF could also be used to smooth volatile fishing revenues. To boost shared prosperity and remove barriers to private sector growth, Kiribati should rationalize public wages and redirect copra subsidies to targeted social protection and human capital investment. Any further increases in recurrent spending could jeopardize the Government's fiscal responsibility rules.

In FY25, **Nauru**'s GDP growth is projected to recover to 2.0 percent due to government spending financed by budget support and RPC revenues. The FY25 budget forecasts a deficit worth 16 percent of GDP, funded from reserves accumulated in FY24. This means weakening one of Nauru's three fiscal responsibility rules from requiring a surplus every year to requiring a surplus across a 3-year rolling average. Spending is being directed to healthcare, education, and a broad ex-gratia payment. Nauru's only banking service is scheduled to depart in mid-2025. Negotiations for a replacement are ongoing. They may be jeopardized by a new plan to sell citizenship from FY25 which could increase money-laundering risks. The installation of the East Micronesian Internet Cable in 2026 could allow Nauru to provide online services that exploit its favorable time zone between Asia and the Americas, the English language, and widespread literacy. A new port will provide opportunities for transshipment and local value-addition to fishing products.

Tuvalu's economic growth is projected to gradually subside to 2.5 percent by 2026 and is expected to be driven by construction, hotels, finance, and public administration. The 2023 Australia-Tuvalu Falepili Union Treaty is anticipated to impact migration, remittances, and development over the medium term. Inflation is projected to moderate to 3.2 percent by 2026 as global inflation pressures dissipate. Current account deficits and fiscal deficits are expected over the medium term as major revenue streams gradually decline. Public debt is sustainable, but the risk of debt distress is high. The sovereign wealth funds to GDP are projected to decline over the medium term.

Risks to the Central Pacific outlook are substantial and include high global inflation and slowing global growth; faster than expected outwards migration; volatile revenues, including grants from development partners; and the ever-present threat of climate-related natural disasters.

TABLE 2 Central Pacific Islands / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices						
Kiribati	8.5	3.9	4.2	5.8	4.1	3.3
Nauru	7.2	2.8	0.6	1.8	2.0	1.9
Tuvalu	1.8	0.7	3.9	3.5	3.0	2.5
Poverty rates of Kiribati						
International poverty rate ($2.15 in 2017 PPP)[a,b]	1.3	1.2	1.1	0.9	0.8	0.8
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	16.6	15.5	13.9	12.5	11.6	10.6
Upper-middle income poverty rate ($6.85 in 2017 PPP)[a,b]	66.6	65.3	63.2	59.3	58.3	56.9

Sources: Country authorities, World Bank and IMF staff estimates.
Notes: e = estimate; f = forecast. Nauru data are based on the fiscal year ended June. Kiribati and Tuvalu are calendar years.
a/ Calculations based on EAPPOV harmonization, using 2019-HIES.
b/ Projection using neutral distribution (2019) with pass-through = 1 (High) based on GDP per capita in constant LCU.

CHINA

Table 1	2023
Population, million	1409.7
GDP, current US$ billion	17767.5
GDP per capita, current US$	12604.0
International poverty rate ($2.15)[a]	0.0
Lower middle-income poverty rate ($3.65)[a]	0.0
Upper middle-income poverty rate ($6.85)[a]	17.0
Gini index[a]	35.7
School enrollment, primary (% gross)[b]	100.2
Life expectancy at birth, years[b]	78.6
Total GHG emissions (mtCO2e)	13387.7

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2021), 2017 PPPs.
b/ Most recent WDI value (2022).

China's economy had a strong start to the year, but a deeper contraction of the property sector and weaker consumption weighed on growth in the second quarter. Growth is projected at 4.8 percent in 2024, with policy support and robust exports offsetting the weakness in private domestic demand. The pace of poverty reduction, measured by the World Bank poverty line for upper-middle income countries, is expected to slow in line with more moderate growth.

Key conditions and challenges

Despite a severe downturn in the property sector, China's economy grew at a robust rate of 5.0 percent in the first half of 2024. However, economic growth remains uneven and below its pre-pandemic rate, reflecting both cyclical fluctuations and structural challenges. Growth has been supported by strong consumer spending on services and by exports, as well as investment in manufacturing and public infrastructure. While resilient, manufacturing investment in some sectors faces headwinds from lower profit margins, weak consumer demand at home, and increasing export restrictions abroad. The property sector, now in its fourth year of a downturn, has yet to show signs of stabilization despite additional stimulus measures. Inflation remains subdued as supply continues to outpace demand.

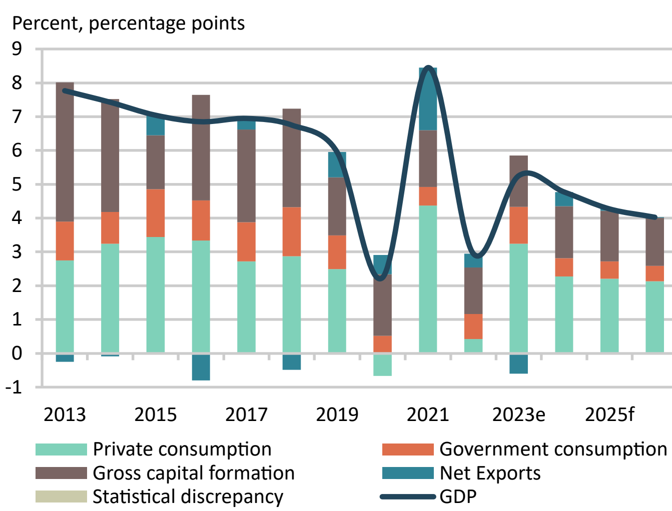
Over the medium term, China is expected to experience a structural deceleration due to slowing productivity growth, an aging population, high debt levels, and diminishing returns to capital. A challenging external environment, characterized by geoeconomic fragmentation could pose substantial headwinds to exports growth. While rebalancing away from investment and exports is part of the necessary adjustment of China's economy, a key challenge is to accelerate consumption growth to support aggregate demand. Meanwhile, China also has some scope to rebalance investment toward green investments to progress toward its dual carbon goals—achieving peak carbon emissions before 2030 and carbon neutrality by 2060—while boosting domestic demand for green technology products.

Recent developments

The economy's growth momentum has slowed after a strong start to the year. In seasonally-adjusted terms, GDP growth decelerated to 0.7 percent quarter on quarter in Q2 from 1.5 percent in Q1. The property sector remains the largest drag on investment. The contraction in real estate investment was only partially offset by resilient manufacturing and infrastructure investments, both bolstered by policy support. However, the proportion of loss-making industrial firms has risen as profit margins remain compressed. Meanwhile, consumption has weakened due to slower household income growth, the negative wealth effect of declining property prices, and subdued consumer confidence with final consumption only contributing 3.0 percentage points to growth during H1 2024, compared to 4.3 percentage points last year.

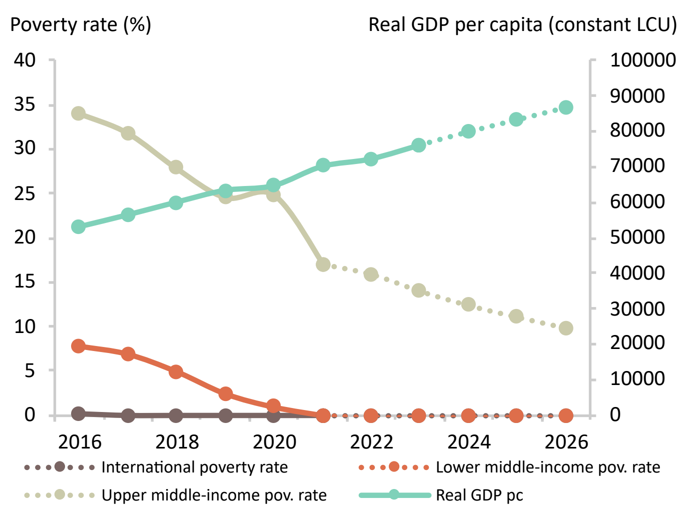
In response to the growth slowdown, the authorities have signaled further policy easing, with additional stimulus measures announced in September. Lower policy rates and reserve requirement ratios will ease financial conditions, but the impact of these measures is limited by weak credit demand. Credit growth slowed from 9.5 percent in the first seven months of 2023 to 8.6 percent

FIGURE 1 China / Real GDP growth and contributions to real GDP growth



Sources: China National Bureau of Statistics and World Bank staff estimates.

FIGURE 2 China / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

in the same period this year. Lower minimum downpayment ratios and mortgage interest rates, and measures to reduce housing inventories and provide liquidity to developers are also expected to provide some boost to the property sector. Similarly, additional fiscal support, especially if financed by the central government, could help ease local government budget constraints caused by the contraction in fiscal revenues, increasing public spending in the short term. But a sustained improvement in consumer sentiment and domestic demand requires structural measures such as reforms of the social safety net.

Poverty reduction has continued to keep pace with aggregate growth. In 2023, around 27 million people are estimated to have climbed above the consumption threshold of US$6.85/day, a standard benchmark often used as a reference by the World Bank to compare progress on poverty reduction across middle-income countries. Though this is higher than the estimated 16 million people who crossed the same threshold in 2022, the overall pace of poverty reduction at this higher line is still slower than in the pre-pandemic years when GDP growth was stronger. Continued macroeconomic uncertainty is reflected in observed volatility of income growth, which likely represents an important drag on household consumption growth. The volatility of income growth (as measured by its coefficient-of-variation) over the 2022-2023 period increased 3.7 times for business income and 4.6 times for wage income in comparison to the two years preceding the pandemic.

Outlook

Growth is projected at 4.8 percent in 2024, down from 5.2 percent in 2023. Weaker household income growth and a softening labor market are likely to constrain consumption. Investment will be tempered by the persistent contraction in the property sector and reduced profitability in some manufacturing sectors. Exports will likely hold up, supported by a rebound in global goods demand as inventory restocking resumes in the US and Euro area. Consumer price inflation is expected to rise slightly in 2024 as the drag from falling food prices fades, but it will likely remain very low amid weak consumer demand for goods. Economic growth is projected to slow further, averaging 4.2 percent in the medium term, reflecting slower productivity growth, a declining population, and high debt.

With the announcement of additional policy stimulus, the risks to the outlook have become broadly balanced. Downside risks stem from a more persistent downturn in the property sector, under-execution of fiscal policies, further softening of labor market conditions due to lower enterprise profitability and reduced hiring, and the possibility of worsening trade tensions. On the upside, larger and more effective policy support to the property sector and to households could boost confidence and lift growth above the baseline expectations.

Lower growth rates in the outer years will also weigh on the pace of poverty reduction which is expected to slow in 2024 and 2025. The poverty rate at the higher poverty line of $6.85/day is projected to continue to fall to 12.5 percent and 11.1 percent, respectively, in 2024 and 2025.

TABLE 2 China / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	8.4	3.0	5.2	4.8	4.3	4.0
Private consumption	11.7	1.1	8.6	5.8	5.6	5.4
Government consumption	3.3	4.6	6.7	3.3	3.2	2.9
Gross fixed capital investment	3.1	3.2	4.9	3.7	3.8	3.6
Exports, goods and services	18.4	-2.5	1.6	4.2	2.2	2.0
Imports, goods and services	10.3	-5.6	6.1	2.5	2.5	2.4
Real GDP growth, at constant factor prices	8.4	3.0	5.2	4.8	4.3	4.0
Agriculture	7.1	4.2	4.0	3.0	3.0	3.0
Industry	8.7	2.6	4.7	4.9	3.9	3.2
Services	8.5	3.0	5.8	5.1	4.8	4.7
Inflation (consumer price index)	0.9	2.0	0.2	0.4	1.0	1.5
Current account balance (% of GDP)	2.0	2.5	1.4	1.0	0.5	0.2
Net foreign direct investment inflow (% of GDP)	0.9	-0.1	-0.8	-0.6	-0.3	0.1
Fiscal balance (% of GDP)[a]	-4.0	-6.3	-5.8	-6.2	-5.7	-5.3
Revenues (% of GDP)	35.5	32.5	32.5	32.9	32.2	32.1
Debt (% of GDP)	46.9	50.6	54.1	57.9	60.7	58.6
Primary balance (% of GDP)	-3.0	-5.2	-4.8	-5.2	-4.7	-4.3
Upper middle-income poverty rate ($6.85 in 2017 PPP)[b,c]	17.0	15.9	14.1	12.5	11.1	9.9
GHG emissions growth (mtCO2e)	5.5	1.9	2.7	2.1	2.2	2.3
Energy related GHG emissions (% of total)	84.1	84.4	84.4	84.4	84.5	84.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ The adjusted fiscal balance adds up the public finance budget, the government fund budget, the state capital management fund budget and the social security fund budget.
b/ Last grouped data available to calculate poverty is for 2021 provided by NBS. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.
c/ Projection using neutral distribution (2021) with pass-through = 0.85 based on GDP per capita in constant LCU.

FIJI

Table 1	2023
Population, million	0.9
GDP, current US$ billion	5.6
GDP per capita, current US$	5964.0
International poverty rate ($2.15)[a]	1.3
Lower middle-income poverty rate ($3.65)[a]	12.4
Upper middle-income poverty rate ($6.85)[a]	52.6
Gini index[a]	30.7
School enrollment, primary (% gross)[b]	108.0
Life expectancy at birth, years[b]	68.3
Total GHG emissions (mtCO2e)	2.4

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2019), 2017 PPPs.
b/ Most recent WDI value (2022).

Growth is expected to normalize in 2024 and revert to its long-term average of 3.3 percent over the medium term, anchored on continued tourist arrivals. Fiscal consolidation is expected to continue over the medium term and will support debt reduction. Risks to the outlook include tropical cyclones, outmigration, and commodity price shocks. Structural reforms boosting investment and raising productivity are crucial for higher growth and sustained poverty reduction.

Key conditions and challenges

Fiji's past policies enabled its transition to an upper middle-income country (UMIC) in 2014. Although current growth rates are improving incomes, they are not bringing the country up to the living standards of upper middle-income countries fast enough. Tourism is the engine for growth and key source of foreign exchange, representing 80 percent of total output. Development is constrained by the small scale of the economy, remoteness from markets, dependence on imports, and high vulnerability to climate change. An average of one tropical cyclone passes through the Fijian waters annually. Reforms boosting investment and raising productivity are essential to elevating Fiji to a high-income status over the next two decades. These could include enabling business, unleashing competition, promoting foreign direct investment, skilling healthy workers, and facilitating women into jobs along with maintaining macroeconomic stability.

While the economy has fully recovered in 2023 from the pandemic-induced contraction, the legacies of the pandemic (e.g., high debt and rising inflation) continue to limit the macroeconomic policy space to respond to shocks. Although strong tourist inflows continue to support growth, Fiji's growth outlook is likely to slow down primarily due to hotel capacity constraints, labor shortages, and red tape.

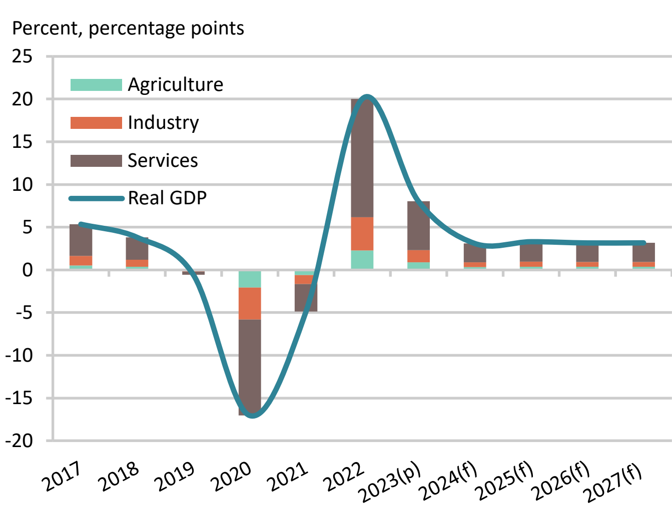
The 2019-20 Household Income and Expenditure Survey (HIES) estimated the incidence of extreme poverty at 1.3 percent, which is in line with other UMICs. However, the upper middle-income poverty rate was 52.6 percent in 2019, nearly double the UMICs' average of 23.5 percent.

Recent developments

The economy is estimated to have grown by 8 percent in 2023 largely due to a continued uptick in tourist arrivals that was 4 percent above pre-pandemic levels. Main drivers of growth include tourism-related sectors such as accommodation, transport, financial, and wholesale and retail sectors. This quick recovery is estimated to have reduced poverty by UMIC standards (US$6.85 in 2017 PPP) from 67.2 percent in 2021 to 52.1 percent in 2023. Inflation in 2023 was 5.1 percent (y/y), the highest in the last decade. This was due to merging the 9 percent VAT with the 15 percent band in August 2023, coupled with higher import prices and tariff rates. Monetary policy remains accommodative with the overnight policy rate maintained at 0.25 percent since 2020.

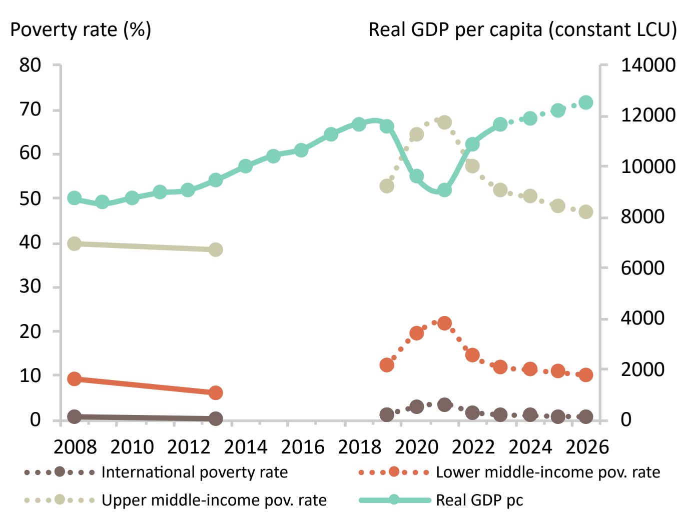
The current account deficit decreased to 7.6 percent of GDP in 2023 as tourism receipts and inflow of remittances rise, partially from Fijians in various labor mobility schemes in Australia/New Zealand. Foreign reserves remained at a comfortable level of 5.7 months of retained imports as of end-2023.

FIGURE 1 Fiji / Real GDP growth and sectoral contributions to real GDP growth



Sources: Ministry of Finance, IMF, and World Bank staff estimates.
Note: 2023(p) - p stands for provisional.

FIGURE 2 Fiji / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

The fiscal deficit declined to 4.5 percent of GDP in 2023 from an average of 11.6 percent in 2020-22 due to high tax buoyancy and lower capital transfers. Revenue gains from measures introduced in 2023 were over 3 percent of GDP but were partly offset by higher spending. The deficit was financed through external concessional and domestic borrowing. Public debt fell to 80.6 percent of GDP in 2023 owing to lower primary balance and high growth.

Outlook

The economy is expected to normalize in 2024 and will grow by 3.1 percent. Tourist arrivals are already about 10 percent above pre-pandemic levels in the first half of 2024. However, outmigration and labor mobility continue to rise resulting in labor shortages. Growth is expected to return to around pre-pandemic average in 2025-26, supported by manufacturing, wholesale and retail trade, and finance sectors. The growth outlook is expected to reduce poverty by UMIC standards to 49.9 percent in 2024 and 47.1 percent by 2026. Headline inflation is projected to decrease to 4.1 percent in 2024 but will remain above 3 percent over the medium term due to increase in national minimum wage rate.

The current account deficit is expected to narrow to 3.2 percent of GDP by 2026 due to a lower trade deficit and steady tourism receipts and remittances. Remittances are expected to be more than a tenth of GDP. The current account deficit will be largely financed by official borrowing. Foreign reserves are projected to remain adequate over the medium term at above 4 months of imports.

The fiscal deficit is expected to narrow to below 3.7 percent by 2026 due to ongoing and planned revenue-generating reforms and expenditure consolidation measures. These include improving compliance, streamlining tax exemptions, and countering tax evasion and avoidance on the revenue front. The Government also plans to adopt a zero-based budgeting approach, reassess funding for extra budgetary units, and focus on high-impact capital projects over the medium term to ensure effective expenditure management. Public debt is projected to decline to around 77.7 percent of GDP by 2026. The World Bank Debt Sustainability Analysis 2024 assesses public debt as sustainable but subject to considerable risks.

Risks to the outlook are tilted on the downside. These include continued outmigration and skilled labor shortages, international price shocks, and natural disasters. Structural reforms and fiscal consolidation are critical to bolster resilience and growth, maintain macroeconomic stability, and support poverty reduction.

TABLE 2 Fiji / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-4.9	20.0	8.0	3.1	3.3	3.2
Real GDP growth, at constant factor prices	-3.4	15.7	8.5	3.1	3.3	3.2
Agriculture	0.8	4.1	4.6	3.3	3.2	3.3
Industry	-6.7	5.7	-0.4	3.7	4.9	4.3
Services	-3.1	21.1	11.6	2.9	2.9	2.8
Inflation (consumer price index)	3.0	3.1	5.1	4.1	3.4	3.2
Current account balance (% of GDP)	-15.9	-17.3	-7.6	-4.2	-3.2	-3.2
Net foreign direct investment inflow (% of GDP)	8.7	1.8	1.1	4.2	4.7	5.0
Fiscal balance (% of GDP)	-11.7	-10.3	-4.5	-4.3	-5.0	-4.4
Revenues (% of GDP)	25.6	21.6	25.0	28.0	28.3	28.0
Debt (% of GDP)	86.0	84.0	78.8	79.4	78.7	77.7
Primary balance (% of GDP)	-7.7	-6.6	-0.5	-0.3	-0.4	0.2
International poverty rate ($2.15 in 2017 PPP)[a,b]	3.7	1.8	1.2	1.1	0.9	0.8
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	21.9	14.6	12.2	11.5	10.9	10.4
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	67.2	57.1	52.1	50.3	48.5	47.1
GHG emissions growth (mtCO2e)	-4.9	20.0	8.0	3.1	3.3	3.2
Energy related GHG emissions (% of total)	91.5	91.5	91.5	91.5	91.5	91.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2019-HIES. Actual data: 2019. Nowcast: 2020-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2019) with pass-through = 0.87 (Med (0.87)) based on GDP per capita in constant LCU.

INDONESIA

Table 1	2023
Population, million	282.1
GDP, current US$ billion	1371.2
GDP per capita, current US$	4859.8
International poverty rate ($2.15)[a]	1.8
Lower middle-income poverty rate ($3.65)[a]	17.5
Upper middle-income poverty rate ($6.85)[a]	61.8
Gini index[a]	36.1
School enrollment, primary (% gross)[b]	100.6
Life expectancy at birth, years[b]	68.2
Total GHG emissions (mtCO2e)	1588.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2023), 2017 PPPs.
b/ Most recent WDI value (2022).

Indonesia is growing at 5 percent amid stable macro conditions. Poverty fell from 17.5 in 2023 to 15.8 percent in 2024, but quality job creation has lagged due to COVID scarring. External financing and currency pressures moderated mid-year with an acceleration in portfolio inflows. Growth is projected to average 5.1 percent through 2026. Faster growth requires structural reforms that further open the economy to new investment. The upcoming administration aims to implement new social programs whilst maintaining fiscal prudence.

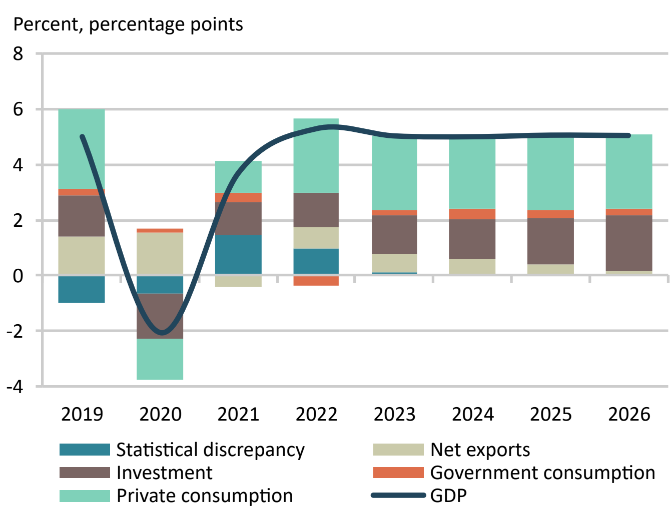
Key conditions and challenges

Indonesia has a strong record of economic growth (5.4 percent per year in the decade preceding 2020, and 4.7 percent per year since 2021). Long-term growth has been stable and inclusive. Extreme poverty (share of population on less than US$ 1.90 2011 PPP per day) has effectively been eliminated, falling from 19 to 1.5 percent between 2002-24. Indonesia became an Upper Middle-Income country in 2023 with ambitions of reaching High-Income status by 2045.
Simultaneously, the economy has followed commodity cycles that have concentrated resources in low-productivity industries and services. Though this has driven growth and job creation, it has also led to falling productivity growth over the past 15 years, aggravated by the scarring effects of COVID. Most jobs are low-skilled and informal, resulting in over 30 percent of the population being economically insecure (vulnerable to poverty in case of shocks). Since 2019, yearly real consumption among the bottom 40 has risen by 2-3 percent. Consumption among the richest 10 percent grew by 3.5 percent annually. But the middle has not kept pace, with the 40th-90th percentile only managing 1 percent growth per year. Inequality measured by the Gini index has also climbed from 35.4 in 2019 to 36.1 in 2023.
Indonesia has a record of prudent macroeconomic management and has pursued structural reforms, but more is needed to reverse declining productivity growth. Prudent macro policies have helped effectively manage inflation, contain debt, and absorb global shocks. On structural reforms, Indonesia has taken recent steps to improving the investment climate, modernizing the financial sector, and strengthening the fiscal framework. However, it maintains policies that protect big parts of the economy (e.g., service sector policies to protect local professionals, and trade policies to protect local industries). A new wave of reforms may be needed to tackle these micro-constraints to productivity growth.

Recent developments

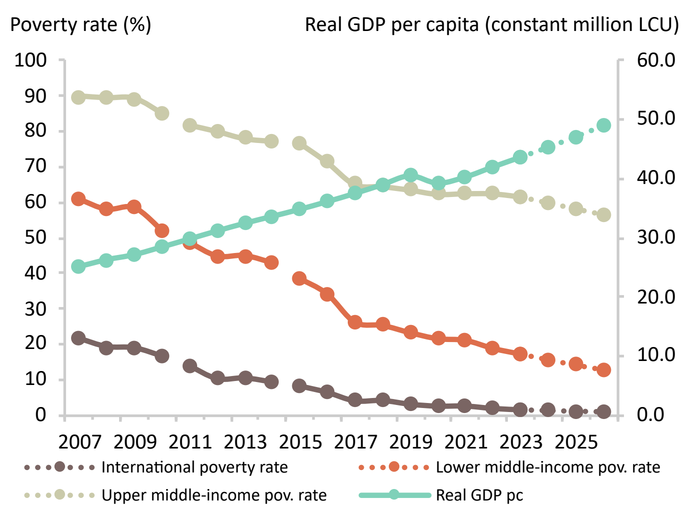
GDP growth rose to 5.1 percent in the first half of 2024 (H1-2024), from 5.0 percent in H2-2023, following improved consumer confidence and strong performance in the services and mining sectors. Election-related surge in public consumption has offset weaker contribution to growth from net exports amid normalizing commodity prices. Inflation accelerated early in 2024 driven as El Niño affected domestic harvest last year. This prompted the government to address supply-chain constraints and introduce food, cash, and fertilizer assistance programs. Coupled with a rebound in agriculture production, this led to a gradual disinflation in food prices, bringing inflation down to 2.1 percent by August. However, these interventions came at a fiscal cost. Core inflation picked up, suggesting a closing of the output gap.

FIGURE 1 Indonesia / Real GDP growth and contributions to real GDP growth



Sources: National Statistics Agency and World Bank.

FIGURE 2 Indonesia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Growth in private consumption and moderating inflation have brought the poverty rate from 17.5 in 2023 to 15.8 percent in 2024 using the international lower-middle-income countries (LMIC) line. Unemployment also dropped below pre-pandemic levels to 4.8 percent in February 2024. There are signs though of limited quality job creation as the recovery came mostly from informal and part-time employment.

Services imports and profit repatriations have widened the current account deficit (CAD) to 0.9 percent of GDP in H1-2024. Responding to capital outflows and currency pressures, due to a bearish Fed, Bank Indonesia (BI) raised its policy rate in April to 6.25 percent, a peak since 2016. BI's measures, including the introduction of high-yield securities, reversed outflows, shored up foreign exchange reserves to cover 6.5 months of imports, and strengthened the Rupiah. Such outcome enabled a subsequent 25-bps easing in September. BI also used macroprudential incentives for targeted sectors, spurring a 6.0 percent rise in private credit year-to-August.

The fiscal stance slightly expanded. Expenditures rose by 11.3 percent in H1-2024 due to rising spending on various assistance programs, energy subsidies, elections, and interest payments. Meanwhile, tax compliance constraints and subsiding commodity windfalls led revenues down by 6.2 percent. Hence, the 0.7 percent of GDP fiscal surplus in H1-2023 turned into a 0.3 percent of GDP deficit in H1-2024. Public debt rose to 39.1 percent of GDP, mostly held in local currency (71 percent).

Outlook

Growth is projected to average 5.1 percent in 2024-26, supported by a pick-up in public consumption and investment as the incoming administration programs take effect. Demand will also benefit from private sector credit growth following expected easing in global monetary policy. Inflation will remain stable, averaging 2.7 percent, firmly within BI's target band (2.5±1 percent), but will face pressure from volatile food and energy prices.

The external position will remain challenging due to a sluggish recovery in global trade and continued financing pressures. The CAD is projected to gradually widen and reach 1.6 percent of GDP by 2026. Robust domestic demand will boost imports while moderating terms of trade hamper exports growth.

The fiscal deficit is expected to adhere to its legal limit (3 percent of GDP) and average 2.6 percent of GDP over the medium term despite the introduction of new development programs. But, government debt amortization and interest payment will peak in 2025. Elevated debt service requires accelerating revenue mobilization reforms to avoid a narrowing fiscal space and crowding out growth-oriented expenditures.

The poverty rate, measured at the LMIC line, is projected to drop to 12.7 percent by 2026, driven by robust growth and low inflation. Extending social protection coverage for part-time and informal workers will substantially advance poverty reduction and provide greater security for vulnerable households. Improving social assistance targeting through database updates remains crucial to improve its effectiveness and efficiency.

The outlook is subject to downside risks. Elevated interest rates could weigh on borrowing costs, tighten access to financing, and expand public debt service costs. Geopolitical shocks might precipitate a steeper decline in terms of trade, causing inflation and potentially constricting fiscal space due to lower revenues. Domestically, the pace of fiscal and structural reform will influence macroeconomic stability and growth prospects.

TABLE 2 Indonesia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.7	5.3	5.0	5.0	5.1	5.1
Private consumption	2.0	5.0	4.9	4.9	5.0	4.9
Government consumption	4.3	-4.5	2.9	5.3	4.2	3.9
Gross fixed capital investment	3.8	3.9	4.4	4.5	5.4	6.3
Exports, goods and services	18.0	16.2	1.3	4.1	3.9	3.4
Imports, goods and services	24.9	15.0	-1.6	2.1	2.9	3.5
Real GDP growth, at constant factor prices	3.3	4.9	5.1	5.0	5.1	5.1
Agriculture	1.9	2.3	1.3	3.7	3.0	3.0
Industry	3.4	4.1	5.0	4.1	4.1	4.1
Services	3.5	6.5	6.1	6.1	6.4	6.3
Inflation (consumer price index)	1.6	4.1	3.7	2.5	2.7	2.7
Current account balance (% of GDP)	0.3	1.0	-0.2	-0.9	-1.4	-1.6
Net foreign direct investment inflow (% of GDP)	1.5	1.4	1.1	1.3	1.4	1.5
Fiscal balance (% of GDP)	-4.6	-2.4	-1.6	-2.7	-2.5	-2.5
Revenues (% of GDP)	11.8	13.5	13.3	12.6	12.5	12.7
Debt (% of GDP)	40.7	39.5	39.0	39.3	39.6	39.5
Primary balance (% of GDP)	-2.5	-0.4	0.5	-0.5	-0.3	-0.3
International poverty rate ($2.15 in 2017 PPP)[a,b]	2.9	2.2	1.8	1.5	1.2	1.0
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	21.3	19.1	17.5	15.8	14.2	12.7
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	62.7	62.6	61.8	60.0	58.3	56.6
GHG emissions growth (mtCO2e)	0.2	4.4	2.5	0.3	-0.9	0.3
Energy related GHG emissions (% of total)	38.3	40.1	41.1	41.1	40.6	40.6

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2011-SUSENAS and 2023-SUSENAS. Actual data: 2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2011-2023) with pass-through = 1 based on GDP per capita in constant LCU.

LAO PDR

Table 1	2023
Population, million	7.6
GDP, current US$ billion	14.9
GDP per capita, current US$	1956.0
International poverty rate ($2.15)[a]	7.1
Lower middle-income poverty rate ($3.65)[a]	32.5
Upper middle-income poverty rate ($6.85)[a]	70.5
Gini index[a]	38.8
School enrollment, primary (% gross)[b]	97.2
Life expectancy at birth, years[b]	69.0
Total GHG emissions (mtCO2e)	49.3

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2018), 2017 PPPs.
b/ Most recent WDI value (2022).

Economic growth continues to be undermined by persistent macroeconomic instability. Despite tighter monetary and fiscal policies, the kip depreciated by 20 percent on average since the beginning of the year, in turn fueling inflation which averaged 25 percent in the first eight months of the year. Real GDP is expected to grow by 4.1 percent in 2024, but rising living costs and slow wage increases will continue to undermine efforts to reduce poverty.

Key conditions and challenges

Laos continues to face acute macroeconomic instability. The kip depreciated by 20 percent year-on-year against major currencies on average since January. This in turn fueled inflation which accelerated to 25 percent during this period. Limited foreign exchange liquidity and the weaker kip have also increased pressure on external public debt servicing, constraining fiscal space and exacerbating vulnerabilities in the financial sector. Significant debt service deferrals from 2020 to 2023 provided temporary relief, but the prospects for deferrals in 2024 are unclear. Public and publicly guaranteed debt (PPG) exceeded 110 percent of GDP in 2023 when accounting for a currency swap and expenditure arrears. Accumulated external debt service deferrals amounted to 16 percent of GDP at the end of 2023, and the average annual external debt repayment obligations remain at $1.3 billion in the medium term.

Macroeconomic instability has affected the labor market, eroded household living standards, and hindered human capital development. High inflation, coupled with currency depreciation and slow wage growth, has shifted employment away from service and wage jobs to agriculture and self-employment. Outmigration has increased, driven by the weak kip and widening wage gap with neighboring countries. The widespread and prolonged impact of inflation has caused more than one-third of households to reduce food consumption and human capital spending.

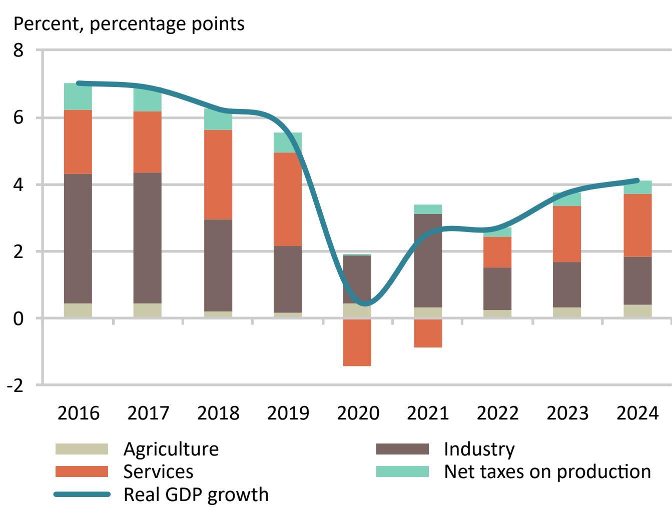
Recent developments

Economic activity in the first half of 2024 benefited from continued growth in tourism, transport, logistics, mining, agriculture, and some electronics manufacturing. Additionally, electricity generation experienced a slight recovery from the previous year, while foreign investment, primarily in the resource sector, expanded.

Despite a modest growth recovery, external pressures persisted. The kip depreciated by 20 percent year-on-year during January to August 2024, with the parallel market premium reaching 10 percent in August. In response, the central bank tightened monetary policy, enforced repatriation and conversion of some export receipts, and promoted formal foreign currency trade on the banking system and the use of the Lao kip. Given high import dependence and high passthrough, inflation remained high at 24 percent in August 2024.

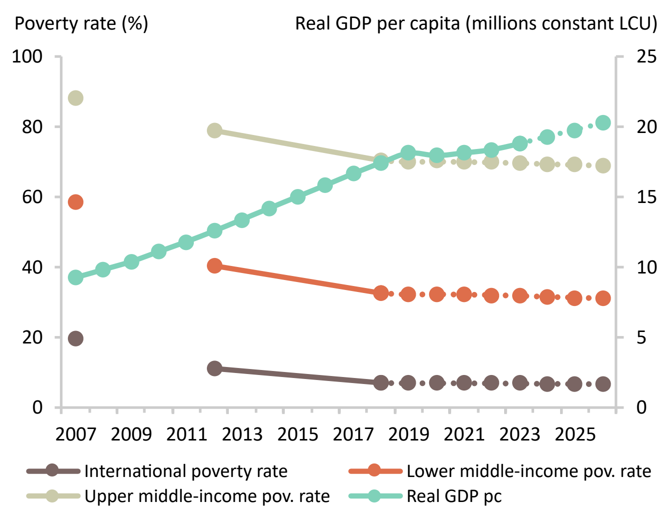
The fiscal balance improved in the first quarter of 2024 due to stronger revenue collection, which offset increased expenditures. Improved domestic revenue was largely driven by higher profit and VAT contributions—supported by tax base expansion as well as price and exchange rate effects. The

FIGURE 1 Lao PDR / Real GDP growth and contributions to real GDP growth



Sources: Lao Statistics Bureau and World Bank staff estimates.

FIGURE 2 Lao PDR / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

Ministry of Finance restored the VAT rate to 10 percent in May. On the other hand, public spending rose significantly, driven by increased interest payments (resulting from higher payments and exchange rate effects) and public investments.

The current account surplus declined in Q1 2024 due to a lower trade surplus despite robust service exports. Foreign investment notably increased, bolstered by investment in the resource sectors. However, actual settlements indicated lower net foreign exchange inflows compared to an official record. Gross foreign reserves were reported at $1.8 billion in June 2024, and net reserves, excluding a $900 million swap arrangement, cover less than two months of imports.

Employment remained robust in the first half of 2024 but the shift from non-tradable service sectors to agriculture and manufacturing continued. The number of registered migrants in Thailand reached 313,000 in June 2024, surpassing the pre-COVID-19 level. Nominal wages and household income grew at a modest pace of 8 percent and 14 percent, respectively and these increases were more than offset by mounting inflation. Progress in poverty reduction is expected to have stalled, with the poverty rate (calculated at the lower-middle-income poverty line of $3.65 per day in 2017 PPP) estimated to stagnate at around 31 percent in 2024.

Outlook

Real GDP is projected to grow by 4.1 percent in 2024. This outlook assumes the continued suspension of debt service due from 2020-2023 and a partial suspension in 2024. Inflation is expected to remain above 20 percent, reflecting ongoing depreciation pressures as a result of high external debt service and import needs.

Despite recent improvements in revenue collection and debt repayment deferrals, high debt service levels will continue to constrain fiscal space. Revenue is expected to benefit from improvements in tax policy and administration, but if high interest obligations are fully paid, they could crowd out other expenditures. The outlook anticipates a primary surplus in the coming years. However, the overall fiscal deficit is expected to increase, assuming full interest payments for 2025 onward. External debt service obligations will average $1.3 billion annually from 2024 to 2028, keeping total public financing needs elevated. Uncertainty regarding access to international capital markets and non-debt financing sources may continue to pressure domestic financing sources.

Ongoing macroeconomic instability is expected to weigh negatively on the poverty outlook. High inflation will continue to pressure real household incomes and human capital spending. Extreme weather events, such as floods during the 2024 cropping season, could exacerbate food price increases while reducing farm income. Despite growth recovery, the poverty rate is projected to remain steady in 2024 and 2025. In the medium term, a contraction in human capital spending could undermine prospects for poverty reduction.

This outlook is subject to significant domestic and external uncertainties. Domestic risks include tight foreign exchange liquidity to meet external debt obligations with high debt service needs against limited access to international capital market (which could be exacerbated in the absence of deferrals), slow progress with structural reforms, and deteriorating balance sheets in major banks. Outmigration and labor shortages could threaten labor-intensive sector growth. Subdued global and regional economic growth could weaken external demand. On an upside, a weakening US dollar might contribute to a slower the kip depreciation.

Addressing macroeconomic instability necessitates five critical reforms: (i) fully implement the restored VAT rate of 10 percent, curbing tax exemptions and reforming health taxes; (ii) improve governance of public and public-private investments; (iii) finalize debt negotiations; (iv) strengthen financial sector stability; and (v) enhance the business environment.

TABLE 2 Lao PDR / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.5	2.7	3.7	4.1	3.7	3.7
Real GDP growth, at constant factor prices	2.5	2.7	3.7	4.1	3.7	3.7
Agriculture	2.3	1.6	2.4	3.0	3.0	3.0
Industry	7.6	3.3	2.6	3.7	3.1	3.1
Services	-2.2	2.5	5.5	5.0	4.5	4.5
Inflation (consumer price index)	3.8	22.7	31.2	24.2	15.7	9.0
Current account balance (% of GDP)	-2.9	-1.7	-1.6	-3.0	-3.6	-3.9
Fiscal balance (% of GDP)	-1.3	-0.2	0.7	-0.9	-1.1	-1.3
Revenues (% of GDP)	14.9	14.7	16.5	16.6	16.7	16.7
Debt (% of GDP)	91.9	130.9	115.9	108.3	118.3	122.7
Primary balance (% of GDP)	0.0	1.5	2.8	2.2	2.0	1.8
International poverty rate ($2.15 in 2017 PPP)[a,b]	7.0	6.9	6.8	6.7	6.6	6.5
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	32.0	31.9	31.7	31.4	31.2	30.9
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	70.0	69.9	69.6	69.3	69.1	68.8
GHG emissions growth (mtCO2e)	2.3	4.2	5.2	5.4	5.7	5.9
Energy related GHG emissions (% of total)	41.3	42.4	43.2	43.7	44.1	44.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2012-LECS and 2018-LECS. Actual data: 2018. Nowcast: 2019-2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2012-2018) with pass-through = 0.5 based on GDP per capita in constant LCU.

MALAYSIA

Table 1	2023
Population, million	34.3
GDP, current US$ billion	399.7
GDP per capita, current US$	11650.3
Upper middle-income poverty rate ($6.85)[a]	2.3
Gini index[a]	40.7
School enrollment, primary (% gross)[b]	97.8
Life expectancy at birth, years[b]	76.3
Total GHG emissions (mtCO2e)	376.8

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2021), 2017 PPPs.
b/ Most recent WDI value (2022).

Following weaker-than-expected growth in 2023, Malaysia is projected to grow at a higher rate of 4.9 percent in 2024. Stronger private consumption, investment, and exports will continue to support growth. The narrowing fiscal space remains a key challenge. Poverty is expected to decline further. The government could enhance the fiscal system to be more pro-poor with reforms that do not necessarily increase spending, but by reallocating subsidies into targeted transfers.

Key conditions and challenges

Malaysia's economy experienced a strong rebound beginning 2024 following weaker-than-expected growth last year. Growth was driven by stronger expansion in private consumption and investment and improving exports.

However, the narrowing fiscal space remains a key challenge for Malaysia. While Malaysia is on the consolidation path, outstanding federal government debt rose to 64.3 percent in 2023 from 60.2 percent in 2022, as deficits continue to add to debt stock. Rigid spending, including salaries, pensions, and debt service charges, has been growing as a share of total operating expenditures. The government has implemented diesel subsidy rationalization which is estimated to generate 0.2 percent of GDP in annual savings. While optimizing public spending can free up budgetary resources, enhancing revenue mobilization remains vital to restore fiscal space and meet future fiscal needs.

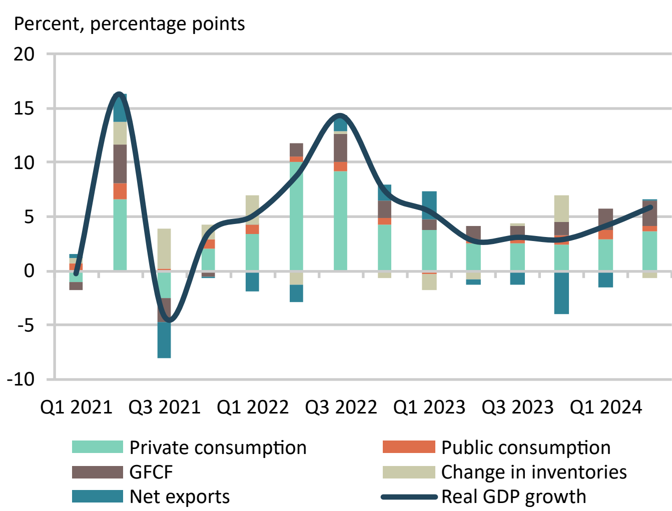
Moreover, despite the moderating inflation, there are concerns about rising living costs, particularly among low-income households. Higher housing and utilities inflation has disproportionately impacted this group due to a higher share of their expenditure in this category.

Recent developments

Malaysia experienced a stronger year-on-year growth of 5.9 percent in 2Q 2024 from 4.2 percent in 1Q 2024, driven by better-than-expected private consumption, investment, and export performance. Private consumption grew by 6.0 percent in 2Q 2024 from 4.7 percent in 1Q 2024, supported by further improvement in labor market conditions and continued policy support. Gross fixed capital formation (GFCF) growth accelerated to 11.5 percent and 9.6 percent in the first two quarters of 2024, driven by higher private capital spending in the manufacturing and services sector and increased public spending on fixed assets. On the supply side, the construction and agriculture sector recorded the highest growth, expanding at 17.3 percent and 7.2 percent respectively in 2Q 2024, from 11.9 percent and 1.7 percent in the previous quarter.

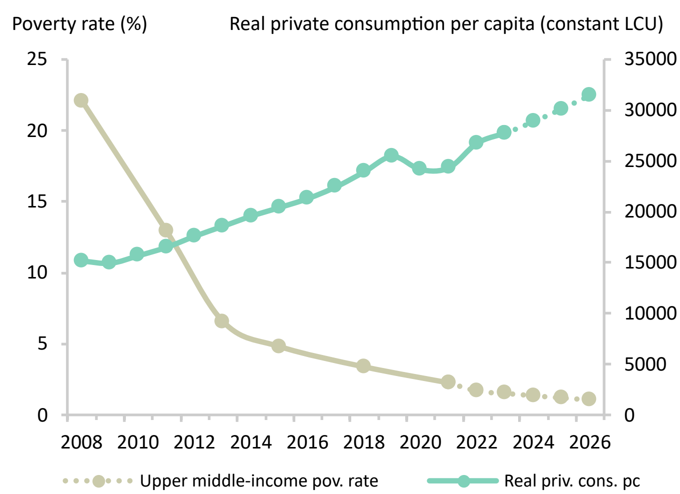
Exports recovered strongly in the first half of the year, growing by 5.2 percent and 8.4 in 1Q and 2Q 2024, respectively, on the back of the technology upcycle which lifted exports of E&E products, stronger external demand for non-E&E exports, and a turnaround in commodity exports supported by improving commodity prices. Imports also experienced strong growth of 12.5 percent and 15.0 percent in the first two quarters of 2024, reflecting higher intermediate imports and robust domestic demand for capital and consumption goods.

FIGURE 1 Malaysia / Real GDP growth and contributions to real GDP growth



Sources: Bank Negara Malaysia and World Bank staff calculations.

FIGURE 2 Malaysia / Actual and projected poverty rate and real private consumption per capita



Source: World Bank. Notes: see Table 2.

Headline inflation edged higher in 1Q and 2Q of 2024 at 1.7 percent and 1.9 percent respectively from 1.6 percent in 4Q 2023 due to policy adjustments. Meanwhile, core inflation moderated to 1.8 percent in 1Q 2024 from 2.0 percent in 4Q 2023 with easing food and beverages prices, before edging higher to 1.9 percent in 2Q 2024 due to inflation in the food-away-from-home segment. On the labour market front, the national unemployment rate remained similar to pre-pandemic levels at 3.3 percent in 2Q 2024, while nominal wage growth increased slightly to 2.7 percent in 2Q 2024 from 2.6 percent in the last quarter.

Despite progress, Malaysia still faces challenges in reducing poverty and inequality. The latest official estimates show that the absolute poverty rate of 6.2 percent in 2022 remained higher than the pre-pandemic level of 5.6 percent in 2019. However, using the international poverty line, at the upper-middle income line of $6.85 2017 PPP dollars a day, poverty fell to 2.3 percent in 2021, from 3.4 percent in 2018. The continued growth in private consumption, combined with the moderation of inflation to mid-2024 has reduced the poverty rate forecast to 1.4 percent in 2024 from 1.5 percent in 2023. Meanwhile, income inequality, measured by the Gini index based on household per capita net income stood at 40.7 in 2021, compared to 41.2 in 2018.

Outlook

Following weaker-than-expected growth in 2023, Malaysia's economy is forecast to expand to 4.9 percent in 2024 from 3.7 percent in 2023, an increase of 0.6 percentage points compared to the previous forecast in April 2024. This reassessment reflects stronger-than-expected household consumption as well as improved investment and trade performance in 1H 2024. Recent data also point to continued strength in domestic demand and export activities in 2H 2024. Private consumption is projected to expand to 5.5 percent in 2024 from 4.7 in 2023, supported by further improvement in labor market conditions and wage growth, as well as continued government household income support. GFCF is expected to grow faster at 7.4 percent in 2024 from 5.5 percent in 2023, with private investment being supported by ongoing multi-year projects and the realization of recently approved investments in the manufacturing and services sectors. Meanwhile, exports are expected to recover to 5.9 percent growth in 2024 from -8.1 percent in 2023, driven by improved global trade, increased demand for E&E exports, and continued rise in tourist arrivals driving services exports. Inflation is projected to moderate to around 2.1 percent in 2024 from 2.6 percent in 2023, reflecting softer global commodity prices and weaker-than-anticipated passthrough effects of recent policy changes on inflation. Growth is expected to expand at a more moderate rate of 4.5 percent in 2025, with more modest growth in trade and investment.

Weaker-than-expected activity in advanced economies, escalating geopolitical tensions, and potential underperformance of China's growth could pose risks to Malaysia's growth outlook. On the domestic front, slower growth in real disposable income and the lingering effects of post-pandemic monetary policy normalization may pose downside risks to private consumption. Supply-side disruptions in commodity production, potentially due to unfavorable weather conditions, could also impede growth.

Poverty is expected to decline further. The government could strengthen its pro-poor fiscal system through reforms without necessarily increasing additional spending, for instance, through the reallocation of subsidy funds towards a targeted social assistance for vulnerable households.

TABLE 2 Malaysia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	3.3	8.9	3.6	4.9	4.5	4.3
Private consumption	1.8	11.3	4.7	5.5	5.4	5.4
Government consumption	5.8	5.1	3.3	3.9	4.4	4.5
Gross fixed capital investment	-0.7	6.8	5.5	7.4	4.1	3.2
Exports, goods and services	18.5	14.5	-8.1	5.9	4.5	4.3
Imports, goods and services	21.2	16.0	-7.4	6.7	5.1	4.8
Real GDP growth, at constant factor prices	3.3	8.9	3.5	4.9	4.5	4.3
Agriculture	-0.3	1.3	0.7	3.2	2.0	1.8
Industry	5.7	6.7	1.3	4.3	3.6	3.4
Services	2.2	11.4	5.2	5.4	5.4	5.2
Inflation (consumer price index)	2.5	3.4	2.5	2.1	2.8	2.5
Current account balance (% of GDP)	3.9	3.2	1.5	1.8	1.6	0.6
Net foreign direct investment inflow (% of GDP)	2.0	0.7	0.0	1.6	1.5	1.5
Fiscal balance (% of GDP)	-6.4	-5.5	-5.0	-4.2	-3.7	-3.3
Revenues (% of GDP)	15.1	16.4	17.3	16.6	16.6	16.6
Debt (% of GDP)	63.3	60.2	64.3	64.5	64.8	64.6
Primary balance (% of GDP)	-3.9	-3.2	-2.5	-1.8	-1.0	-0.6
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	2.3	1.7	1.5	1.4	1.2	1.1
GHG emissions growth (mtCO2e)	0.5	3.6	-0.7	1.1	1.3	1.3
Energy related GHG emissions (% of total)	62.2	63.1	62.7	62.9	63.2	63.3

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2014-HIS and 2022-HIS. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2013-2021) with pass-through = 0.7 based on private consumption per capita in constant LCU.

MONGOLIA

Table 1	2023
Population, million	3.4
GDP, current US$ billion	20.5
GDP per capita, current US$	5956.9
Lower middle-income poverty rate ($3.65)[a]	2.4
Upper middle-income poverty rate ($6.85)[a]	22.1
Gini index[a]	31.4
School enrollment, primary (% gross)[b]	95.6
Life expectancy at birth, years[b]	72.7
Total GHG emissions (mtCO2e)	83.4

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022), 2017 PPPs.
b/ Most recent WDI value (2022).

Mongolia's GDP growth is forecasted to remain robust at 5.3 percent in 2024, despite adverse weather affecting the agricultural sector. With rising real wages, the poverty rate, measured at the upper-middle-income poverty line, is projected to decrease to 20.1 percent by the end of 2024 from 20.9 percent in 2023. Significant risks and challenges persist, including the potential for renewed fiscal and balance of payment pressures.

Key conditions and challenges

The ongoing mineral export boom in Mongolia is delivering positive macro-fiscal outcomes for the second consecutive year. However, it also underscores Mongolia's increasing dependence on the volatile mining sector and the pressing need for economic diversification. The focus on coal-driven growth exacerbates both climate and development challenges, emphasizing the critical need for structural reforms.

Robust economic growth post-COVID has elevated Mongolia to upper-middle-income status in 2024. Using the World Bank poverty rate for upper-middle-income countries, the poverty rate is projected to fall to 20.1 percent in 2024 from 20.9 in 2023. While strong wage growth and declining inflation have led to increased real household incomes and consumption since 2023, income growth has been unevenly distributed between Ulaanbaatar (7.4 percent) and other areas (-3.5 percent in the countryside).

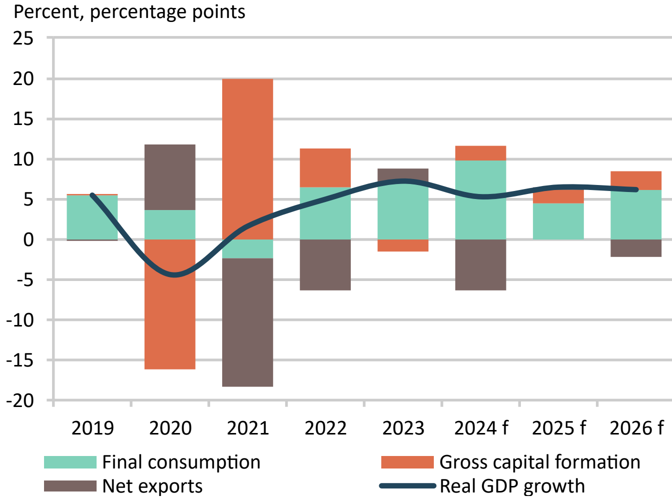
To boost growth, the newly formed coalition government seeks to accelerate major projects under its four-year action plan. While the plan to leverage public-private partnerships and the newly established development fund—drawing resources from the intergenerational savings fund—intends to ensure fiscal affordability, a rapid scale up of investment and fiscal expansion poses significant risks, including renewed inflationary pressures, increased import demand, fiscal inefficiencies, and the reemergence of fiscal and external imbalances.

Recent developments

Economic growth slightly declined to 5.7 percent in the first half of 2024 (down from 7.2 percent in 2023) mainly due to a 26.7 percent contraction in agriculture production amid harsh weather conditions (dzud phenomenon), stymying rural household income growth. Meanwhile, more than half of the growth was explained by mining and transportation services—reflecting greater coal exports and rising imports, driven by the recovery of domestic demand. On the demand side, robust growth in public and private consumption were the main drivers of economic growth. Despite a robust momentum in coal exports, growth was dampened by increased demand for imported goods including both consumer durable goods and investment inputs.

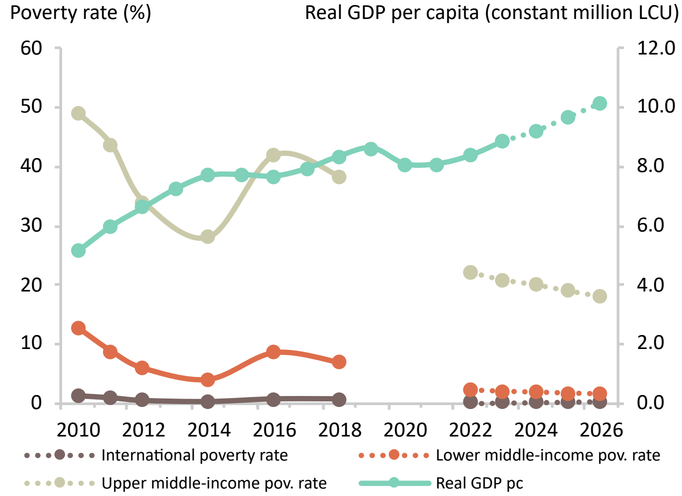
Consumer price pressures eased in the first half of 2024, staying within the central bank's target range of 6±2 percent. Inflation for both domestic food and imported goods continued to decline throughout H1 2024, accentuated by nominal exchange rate appreciation. By July 2024, headline inflation had decreased to 5.5 percent, down from 7.9 percent at the end of 2023, and coupled with wage increases, supported real household income and consumption growth. Declining inflation enabled the central bank to reduce the policy rate

FIGURE 1 Mongolia / Real GDP growth and contributions to real GDP growth



Sources: National Statistics Office and World Bank.

FIGURE 2 Mongolia / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

by 200 basis points in H1 2024, bringing it to 11 percent.

Despite continued high spending levels, the government maintained a budget surplus of 2.6 percent of GDP as of June 2024, contributing to a further reduction in the public debt-to-GDP ratio. This positive fiscal outcome was driven by robust revenues from mineral exports and increased economic activities, particularly from taxes on imports of goods and services. Public debt, including obligations from the Development Bank of Mongolia, was estimated at 38.2 percent of GDP by the end of H1 2024, with no major external repayments to commercial lenders due until Q2 2026.

Despite strong export revenues, the current account balance shifted to a deficit of US$309 million (1.4 percent of GDP) by the end of H1 2024. This shift was primarily due to elevated import demand and declining mineral prices. However, increased foreign direct investment helped sustain the accumulation of gross international reserves, enabling the central bank to repay US$830 million—nearly half of its currency swap line with the People's Bank of China—thereby reducing pressures on external debt.

Outlook

In 2024, economic growth is expected to remain robust but moderate to 5.3 percent, largely due to a significant downturn in the agriculture sector caused by the dzud weather phenomenon. While the services and mining sectors are projected to continue growing, the pace is anticipated to slow from the peak levels seen in 2023, particularly in mining. On the demand side, growth is expected to be driven by strong private consumption and fiscal expansion, including increases in real public wages and investments. Additionally, improvements in business lending, spurred by declining interest rates, are anticipated to support private investment.

Fiscal expansion, as outlined in the recent budget amendment, along with rising household incomes, is expected to revive inflationary pressures in H2 2024, leading to a slight uptick in headline inflation. Despite the strong momentum in coal exports, fiscal and current account deficits are anticipated to reemerge in 2024, driven by declining export commodity prices, sustained high levels of government spending, and increasing demand for imports.

In the medium term, growth is expected to reach an average of 6.3 percent over 2025-2026, driven by a substantial increase in mineral production of the Oyu Tolgoi mine. Poverty is also projected to decline further over this time period, but the lingering impacts of the recent dzud may mean heightened vulnerabilities among rural households.

A greater-than-expected fiscal expansion and borrowing, linked to a relaxation of fiscal rules and the advancement of major projects under the government's proposed action plan, could bolster economic growth but also lead to larger fiscal and current account deficits while exacerbating inflationary pressures. Externally, Mongolia could face significant negative spillovers from slower-than-expected growth in China, with weaker external demand and prices of key commodities. An escalation of geopolitical tensions and supply issues with fuel imports from Russia could drive up fuel prices. Protracted delays in railway transportation of imported merchandise through the Chinese Tianjin seaport could lead to increased transportation costs and delays.

TABLE 2 Mongolia / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.6	5.0	7.2	5.3	6.5	6.1
Private consumption	-5.9	8.1	9.7	8.4	5.0	6.8
Government consumption	9.2	6.9	3.2	22.0	4.6	6.8
Gross fixed capital investment	17.7	13.2	5.3	18.0	7.9	6.2
Exports, goods and services	-14.6	32.3	33.2	5.1	23.9	2.4
Imports, goods and services	13.6	29.1	18.9	10.2	15.9	3.9
Real GDP growth, at constant factor prices	0.4	4.2	7.5	5.3	6.5	6.1
Agriculture	-5.5	12.0	-8.9	-23.0	5.0	6.5
Industry	-2.2	-4.5	12.9	8.3	11.5	6.1
Services	3.9	6.9	9.9	11.0	4.1	6.1
Inflation (consumer price index)	7.3	15.2	10.4	7.0	8.0	8.5
Current account balance (% of GDP)	-13.4	-13.2	0.6	-7.8	-6.2	-7.1
Net foreign direct investment inflow (% of GDP)	13.1	13.9	7.3	8.7	6.7	6.2
Fiscal balance (% of GDP)	-3.0	0.7	2.6	-0.9	-0.7	-1.0
Revenues (% of GDP)	32.0	33.8	34.1	35.7	35.8	35.1
Debt (% of GDP)[a]	64.5	62.1	44.4	43.3	42.2	42.0
Primary balance (% of GDP)	-1.1	2.1	4.2	0.6	0.8	0.6
International poverty rate ($2.15 in 2017 PPP)[b,c]	..	0.2	0.2	0.2	0.2	0.2
Lower middle-income poverty rate ($3.65 in 2017 PPP)[b,c]	..	2.4	2.1	1.9	1.7	1.5
Upper middle-income poverty rate ($6.85 in 2017 PPP)[b,c]	..	22.1	20.9	20.1	19.0	18.1
GHG emissions growth (mtCO2e)	3.3	4.4	1.3	0.9	3.4	4.1
Energy related GHG emissions (% of total)	29.1	30.0	31.9	34.1	35.7	37.0

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Debt excludes the BoM's liability under the PBOC swap line (3.5% of GDP as of mid-2024).
b/ Calculations based on EAPPOV harmonization, using 2016-HSES, 2018-HSES, and 2022-HSES. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.
c/ Projection using annualized elasticity (2016-2018) with pass-through = 1 based on GDP per capita in constant LCU.

MYANMAR

Table 1	2023
Population, million	54.6
GDP, current US$ billion	62.3
GDP per capita, current US$	1140.6
International poverty rate ($2.15)[a]	2.0
Lower middle-income poverty rate ($3.65)[a]	19.6
Upper middle-income poverty rate ($6.85)[a]	68.2
School enrollment, primary (% gross)[b]	118.9
Life expectancy at birth, years[b]	67.3
Total GHG emissions (mtCO2e)	246.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Last official estimate based on 2017 Myanmar Living Conditions Survey, 2017 PPPs.
b/ WDI for School enrollment (2018); Life expectancy (2022).

The economy continues to face challenges from increased conflict and economic instability. Rapid kyat depreciation and high inflation have reduced household consumption. In 2023/24, 32 percent of the population is estimated to live in poverty. Trade, foreign exchange restrictions, and price controls on food and fuel distorted markets, leading to shortages. The outlook remains bleak, with little to no growth projected in 2024/25.

Key conditions and challenges

Myanmar's economic situation has become more challenging over the past six months due to heightened conflict around the country and recent severe flooding. More than half of the country's 330 townships were embroiled in active conflict as of mid-August, disrupting livelihoods, trade, and major public investment projects. The UN estimates that around 1.4 million people have been displaced between October 2023 and early September 2024, increasing the total number of internally displaced people to 3.4 million (about 6 percent of the population). Conflict has disrupted the transport of goods within Myanmar and created obstacles to land border trade with Thailand, China, and India. In September, heavy rains associated with Typhoon Yagi triggered major flooding in large parts of the country, with devastating impacts on lives and livelihoods.

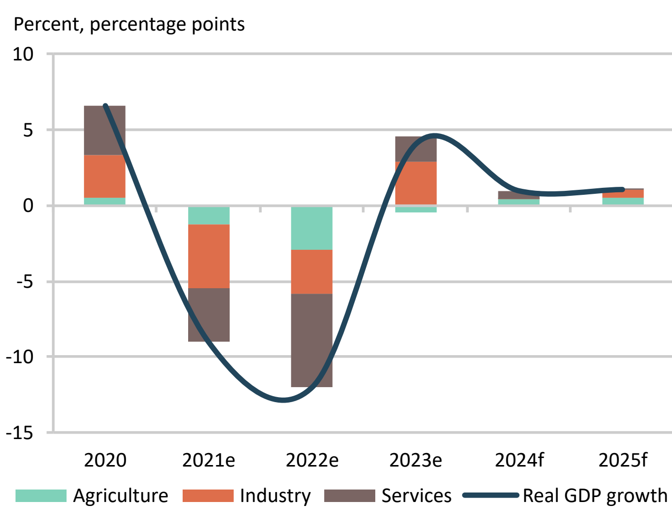
The kyat has depreciated rapidly, fueling inflation and straining real household incomes and consumption. The kyat lost 40 percent of its value against the US dollar on parallel markets over the first eight months of 2024. While the latest official data show that consumer prices rose by 30.2 percent over the year to September 2023, food and fuel prices have continued to increase rapidly in more recent months driven by pass-through from exchange rate depreciation and domestic supply disruptions. The authorities have responded to price pressures by enforcing price ceilings on essential commodities such as rice, edible oil, and petroleum products and maintaining strict controls over foreign exchange transactions. However, these measures have been largely counterproductive, triggering further shortages and exacerbating market distortions.

The combined effects of subdued economic activity, high inflation, and weak labor markets have led to a significant increase in poverty. The 2023-24 Myanmar Subnational Phone Survey (MSPS) estimated poverty to be 32.1 percent in 2023-24, a reversion to levels last seen in 2015. Internally displaced populations (IDPs) are particularly vulnerable, with estimated poverty rates as high as 48 percent. Rural poverty increased to an estimated 35.7 percent from 30.2 percent in 2017, while urban poverty rose faster, more than doubling from 11 percent in 2017 to an estimated 23 percent. This was due mainly to a significant decline in job quality, with the share of wage earners in overall employment falling by 9.3 percentage points since 2017.

Recent developments

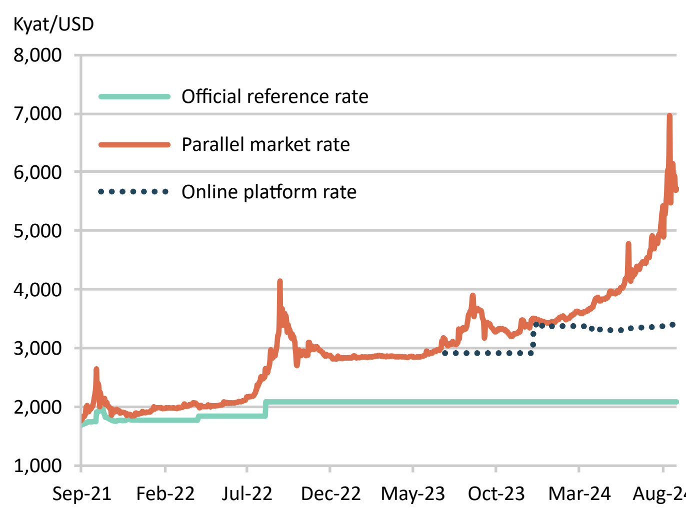
Economic activity has remained subdued, with GDP estimated to have risen by just 1 percent in the fiscal year ended March 2024, remaining around 10 percent below pre-pandemic levels. In the April 2024 round of the World Bank

FIGURE 1 Myanmar / Real GDP growth and contributions to real GDP growth by sector



Sources: Ministry of Planning and Finance and World Bank staff estimates.

FIGURE 2 Myanmar / Exchange rates



Sources: Central Bank and foreign exchange market sources.

Firm Survey, firms reported operating at 65 percent of their capacity on average, a pick up from September 2023 but still 10 percentage points below levels a year earlier. The services sector, particularly retail and tourism, has been adversely affected by high inflation and diminished consumer purchasing power, as well as significant stock shortages due to import restrictions and the enforcement of price controls. After showing signs of recovery earlier in the year, the manufacturing purchasing managers' index (PMI) returned to contractionary territory in July and August, with firms reporting declines in output and new orders amid weaker domestic demand, material shortages, and higher input prices. In contrast, agriculture has shown resilience reflecting favorable international prices for rice, beans, and pulses.

External trade has declined due mainly to disruptions at major land borders. In the five months to May 2024, the US dollar value of imports fell by 12 percent (compared with a year earlier) while the value of exports increased by 2 percent, resulting in a narrowing of the trade deficit to about US$440 million (0.6 percent of GDP). In the same period, exports (excluding natural gas) and imports through land borders fell by 27 and 61 percent, respectively. Manufacturing export values declined by 12 percent due mainly to weak external demand and domestic constraints, including conflict and power outages, while agricultural export values increased by 31 percent reflecting higher prices for key crops.

Inflationary pressures have remained acute, due to increases in both food and non-food prices. The WFP food price index rose by 27 percent between April and July 2024, driven by conflict-related supply disruptions and exchange rate pressures. Fuel prices increased by 12 percent between April and August, driven by shortages and exchange rate depreciation.

The budget deficit increased to 6.1 percent of GDP in the year to March 2024, up from 3.3 percent of GDP in the previous year, driven mainly by a substantial drop in revenues. Total revenue fell to 19.8 percent of GDP from 23 percent in the previous year as both tax and non-tax revenues declined, with a large drop in receipts from State-owned Economic Enterprises (SEEs), especially those in the oil and gas sector. Public debt has risen to 66 percent of GDP.

Outlook

The economic outlook is bleak with GDP growth projected to remain very weak in the year ended March 2025. Economic activity will remain constrained by conflict, trade and logistics disruptions, exchange rate volatility, and power outages. Ongoing regulatory uncertainty and the imposition of trade and foreign exchange restrictions and price controls will continue to adversely affect businesses across all sectors. High inflation will exert downward pressure on household consumption, with particularly large impacts on services industries such as retail trade. Weakness in employment and real incomes is likely to persist, potentially pushing more households into poverty.

The risks to this already weak baseline outlook are predominantly to the downside, with the potential for further escalation in conflict and additional damaging volatility in the exchange rate and other key prices. At the same time, shifts in employment patterns and reductions in human capital threaten Myanmar's longer-term development and poverty reduction efforts.

TABLE 2 Myanmar / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2020	2021e	2022e	2023e	2024e	2025f
Real GDP growth, at constant factor prices	6.6	-9.0	-12.0	4.0	1.0	1.0
Agriculture	2.2	-5.7	-12.8	-2.2	2.0	2.4
Industry	8.0	-11.8	-8.2	8.0	0.0	1.4
Services	7.8	-8.4	-14.7	3.9	1.4	-0.1
Inflation (consumer price index)	9.1	2.3	9.6	27.2	26.5	23.0
Current account balance (% of GDP)	-1.8	-0.4	-2.4	-3.1	-3.9	-3.9
Fiscal balance (% of GDP)	-6.2	-7.9	-1.5	-3.3	-6.1	-6.7
Revenues (% of GDP)	20.6	14.8	10.9	23.0	19.8	16.8
Public sector debt (% of GDP)	42.3	53.9	59.8	60.1	66.2	69.1
Primary balance (% of GDP)	-4.5	-5.6	0.0	-1.0	-3.7	-3.6
GHG emissions growth (mtCO2e)	1.5	-2.4	1.8	0.4	-4.4	0.3
Energy related GHG emissions (% of total)	17.0	15.1	15.6	15.3	11.5	10.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
Estimates and projections are for years ended March.

NORTH PACIFIC ISLANDS

Table 1	FSM	MHL	PLW
Population, million	0.11	0.04	0.02
GDP, current US$ billion	0.42	0.23	0.22
GDP per capita, current US$	3835	5663	11022
LMIC poverty rate ($3.65)	40.8[a]	6.1[b]	
Gini index	40.1[a]	35.5[b]	

Source: WDI, World Bank, and official data.
Notes: The actual year for the table data is 2023.
Abbreviations: LMIC = Lower middle-income;
FSM = Federated States of Micronesia; PLW = Palau;
MHL = Republic of the Marshall Islands; Estimates for poverty rates and Gini index do not exist for Palau.
a/ Most recent value (2013), 2017 PPPs.
b/ Most recent value (2019), 2017 PPPs.

Despite a rebound in activity in FY23 in the North Pacific, output remained below pre-pandemic levels. Inflation subsided in FY23 in RMI but remained high in FSM and Palau. Poverty rates are expected to decline in the coming years, contingent on continued growth. The newly approved Compact of Free Association (COFA) agreement with the United States will deliver US$6.5 billion in assistance to the region over the next 20 years. Structural reforms are needed to boost long-term growth and achieve fiscal sustainability.

Key conditions and challenges

Following contraction in FY22, economic activity gained momentum in the North Pacific in FY23 with a pick-up in capital projects, fisheries output, and tourism. However, output levels for the region remained below pre-pandemic levels at the end of FY23. Economic activity is expected to further expand in FY24 but downside risks to the outlook remain pronounced. In the short term, the key challenges include (1) slower than expected recovery of tourist arrivals (particularly in Palau); and (2) higher than expected global food and fuel prices due to an escalation of geopolitical tensions and conflict.

The Compact of Free Association (COFA) agreements approved by the United States on March 9, 2024, will deliver a total of US$6.5 billion in assistance to the three North Pacific countries over the next 20 years starting in FY24. FSM will receive US$3.3 billion, RMI US$2.3 billion, and Palau $889 million. The renewed agreements mark a significant increase in financial assistance for FY24, to normalize over the medium term as share of GDP.

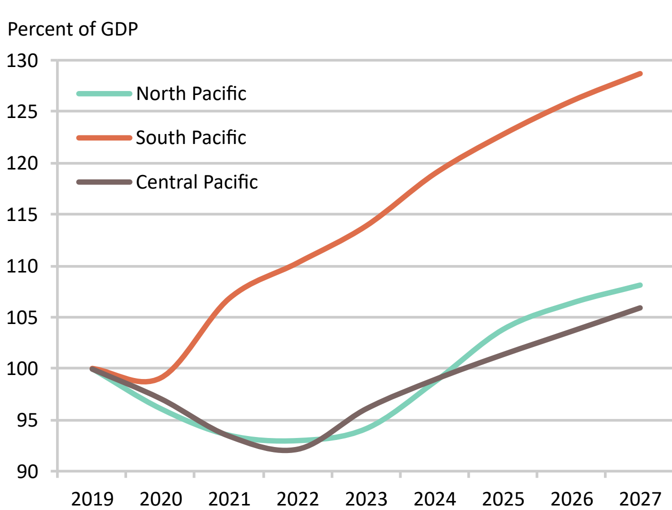
Even with the approval of the new Compact, implementing reform-based fiscal adjustments, such as domestic revenue mobilization and expenditure rationalization, remain crucial to enhancing fiscal sustainability. Natural disasters and climate change continue to pose a threat to economic activity and livelihoods. Structural reforms are needed to ensure a sustainable economic recovery that supports the livelihood of households and poverty reduction. Based on the lower middle-income class poverty line of $3.65 (2017 PPP USD per person per day), FSM has a poverty rate of 40.8 percent (2013 data) and RMI has a poverty rate of 6.1 percent (2019 data). The lack of recent household data for Palau and FSM presents a challenge in monitoring development progress. In Palau, the 2023-2024 household income expenditure survey is currently concluding fieldwork and could be used for poverty measurement.

Recent developments

After a period of volatility, growth in the **Federated States of Micronesia (FSM)** rebounded to 0.4 percent in FY23, supported by the resumption of infrastructure projects and an increase in national government wages. Inflation reached a decade high of 6 percent reflecting the lagged effects of elevated global commodity prices and domestic supply constraints. FSM registered fiscal surpluses of 1.6 percent of GDP in FY23. Government debt declined to 12.4 percent in FSM in FY23 and the risk rating of overall debt distress improved from high to moderate.

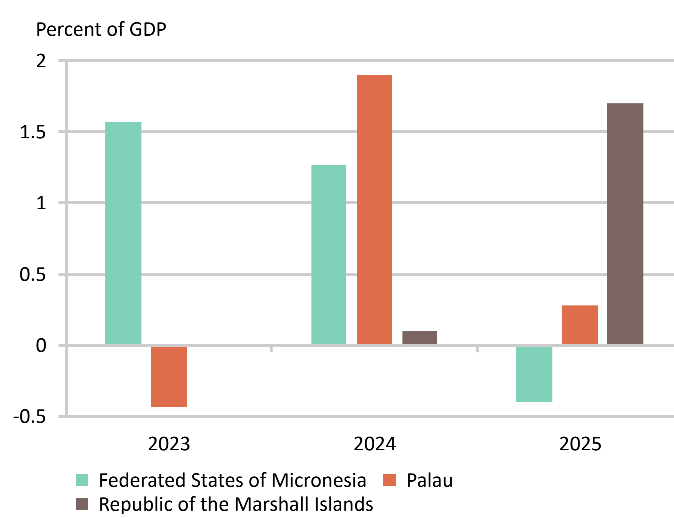
In the **Republic of the Marshall Islands (RMI)**, output expanded by 3 percent due to a revival in fisheries activity as well as strong demand for services. Inflation moderated to 3 percent from 5 percent in FY22 as supply chain disruptions eased

FIGURE 1 North Pacific Islands / Real GDP, relative to 2019 GDP



Sources: National sources, IMF WEO, and World Bank projections.
Notes: 2019 GDP level is 100. South Pacific includes Tonga, Samoa, and Vanuatu. Central Pacific includes Kiribati, Nauru, and Tuvalu.

FIGURE 2 North Pacific Islands / Fiscal balance



Sources: National sources, EconMap, IMF WEO, and World Bank projections.

leading to a reduction in food and fuel prices. A balanced budget was achieved as COVID-19 related grants were withdrawn. At 21.6 percent of GDP debt remains sustainable, but the overall risk of debt distress is high.

In **Palau**, economic growth recorded 0.3 percent in FY23, as tourism activity picked up due to arrivals from Macau. While inflation reduced from a peak of 13.2 percent in FY22, it remained high at 10.8 percent in FY23 due to high food and fuel import prices. A modest fiscal surplus of 0.3 percent of GDP was driven by increased consumption tax collections. Debt remains sustainable but debt levels are high, at 75.7 percent of GDP at the end of FY23.

Poverty in FSM and Palau is expected to have risen between 2020-2022 relative to pre-crisis levels. However, in RMI, poverty is estimated to have fallen marginally from 31 percent in 2020 (measured using the upper middle-income poverty rate ($6.85 in 2017 PP)) to 30 percent in 2022 due to a fall in population driven by out-migration.

Outlook

In **FSM**, the economy is projected to accelerate to 1.1 percent in FY24, supported by the continued pick-up in public investment and the increase in public sector wages. Inflation is expected to stabilize at 2.9 percent over the 2024-27 period. Despite increased Compact funds, in the absence of structural reforms, the fiscal balance is projected to turn into a deficit in FY25 and deteriorate thereafter. Further, the new revenue-sharing agreement, with an increased share of fishing revenues and Compact funds allocated to States, is expected to put pressure on the National Government's budget going forward. The projected low growth trajectory reflects low efficiency of public investment and increasing outmigration.

In **RMI**, output is expected to grow by 3.4 percent in FY24 mainly driven by continued expansion of the fishery sector and strong construction activity financed by Compact transfers. Economic activity is expected to reach pre-pandemic levels in FY24. In line with easing global food and energy prices, inflation in FY24 is expected to subside to 2.5 percent before further declining to 2 percent from FY25 onwards. A fiscal surplus of 1.7 percent of GDP is projected for FY24 in RMI, with modest surpluses expected from FY25 onwards due to new Compact funding.

In **Palau**, the recovery in tourism is projected to lead to a double-digit expansion of 12 percent in FY24. GDP is projected to remain on a lower trajectory until tourist arrivals reach pre-pandemic levels in FY26. Inflation in Palau is expected to decrease to 3.1 percent in FY24 and decline further from FY25 onwards. A large fiscal surplus of 1.9 percent of GDP is projected for FY24, as tourism activity leads to an increase in revenues. Modest fiscal surpluses are expected from FY25 onwards due to continued increases in tourism receipts and full implementation of the tax reform bill.

Poverty is projected to decline in RMI and Palau from FY23 onwards as these economies recover. A decline in poverty is also expected in FSM from FY23, though the real incomes of the poor have been subject to inflationary pressures.

The outlook is subject to significant downside risks. High interest rates globally, albeit declining, may create adverse spillover effects. If growth in advanced economies is slower than anticipated, the projected recovery in tourism may fail to materialize and weaken growth prospects in Palau. Higher than expected global food and fuel prices could reignite inflationary pressures. The region's vulnerability to natural disasters and climate change remains an important underlying adverse risk to economic growth.

TABLE 2 North Pacific Islands / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2022	2023e	2024f	2025f	2026f	2027f
Real GDP growth, at constant market prices						
Federated States of Micronesia	-1.4	0.4	1.1	1.7	1.1	0.8
Republic of the Marshall Islands	-0.6	3.0	3.4	4.0	3.2	2.4
Palau	0.0	0.2	12.0	11.0	3.5	2.0
Poverty rates of the Republic of the Marshall Islands						
International poverty rate ($2.15 in 2017 PPP)[a,b,c]	0.8	0.8	0.8	0.6	0.5	0.4
Lower-middle income poverty rate ($3.65 in 2017 PPP)[a,b,c]	5.6	4.9	4.6	3.8	3.6	3.5
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b,c]	30.0	27.7	25.5	23.0	21.0	19.8

Sources: ECONMAP, IMF, and World Bank.
Note: e = estimate; f = forecast. Values for each country correspond to their fiscal years ending September 30.
a/ Calculations based on EAPPOV harmonization, using 2019-HIES.
b/ Projection using neutral distribution (2019) with pass-through = 1 (High) based on GDP per capita in constant LCU.
c/ For 2022-2025 projections, no change in population is assumed due to a lack of updated population projections.

PAPUA NEW GUINEA

Table 1	**2023**
Population, million	10.3
GDP, current US$ billion	30.4
GDP per capita, current US$	2942.7
International poverty rate ($2.15)[a]	39.7
Lower middle-income poverty rate ($3.65)[a]	67.7
Upper middle-income poverty rate ($6.85)[a]	90.2
Gini index[a]	41.9
School enrollment, primary (% gross)[b]	109.5
Life expectancy at birth, years[b]	66.0
Total GHG emissions (mtCO2e)	53.4

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2009), 2017 PPPs.
b/ WDI for School enrollment (2018); Life expectancy (2022).

The growth momentum increased in 2024 with the reopening of a major gold mine (Porgera). The government has continued implementing its fiscal consolidation plan to safeguard macroeconomic stability. Inflation bottomed, while the Bank of PNG moved to greater exchange rate flexibility. To make the growth model more inclusive and reduce persistent high poverty, prudent macroeconomic management, better services, enabling business environment, and stronger resilience are needed.

Key conditions and challenges

Since gaining independence in 1975, the economy has more than tripled. However, real GDP per capita has only seen an annual increase of 0.9 percent—a sluggish rate compared to other lower middle-income resource-exporting nations. The growth trajectory has been marked by pronounced fluctuations, reflecting high susceptibility to shifts in international commodity prices. The inclusiveness of growth has been limited by the heavy reliance on capital in the resource sector and the underperformance of the non-resource sector.

Weak human development outcomes present missed opportunities for faster and more inclusive economic growth. Papua New Guinea (PNG) has one of the highest stunting rates in the world, affecting almost half of all children under the age of five. Furthermore, 26 percent of youth (10 to 29 year-olds) find themselves outside of training, education, and employment. Weak governance compounds the difficulties in effectively addressing these challenges, with external shocks exacerbating fragility-related risks.

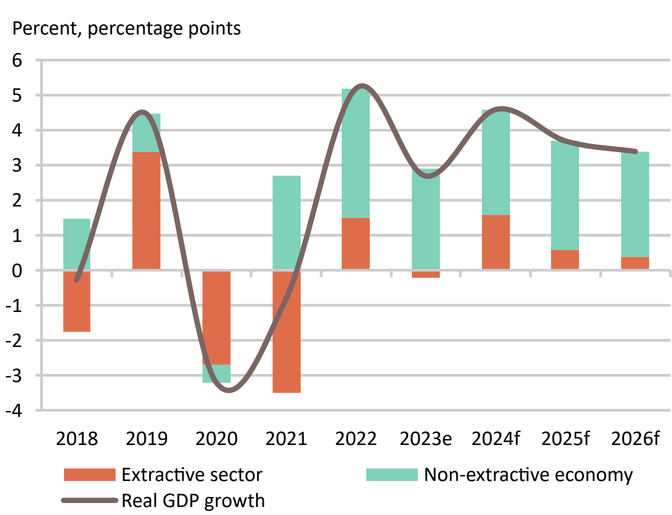
Large segments of the population continue to lag in socio-economic development. The most recent Household Income and Expenditure Survey, from 2009, revealed that around 40 percent of the population lived below the poverty line of US$2.15 per day (2017 PPP terms), and a staggering 74.2 percent are considered to be multidimensionally poor. Access to basic services remains limited, with only 19 percent of the population having access to safe drinking water, and a mere 15 percent of households having access to electricity, according to the 2022 Socio-Demographic and Economic Survey.

Recent developments

The post-COVID recovery was driven by significant improvement in international prices of key export commodities, although the shutdown of the Porgera gold mine limited the rebound of the extractive sector. The economy has recovered to pre-COVID output level but remains below the pre-COVID growth trajectory. Growth is estimated to have slowed to 2.7 percent in 2023, primarily due to maintenance in some extractive facilities. Meanwhile, the non-extractive activity growth is estimated to have exceeded 4 percent. The reopening of the Porgera gold mine in 2024 contributes to the above-average growth in 2024.

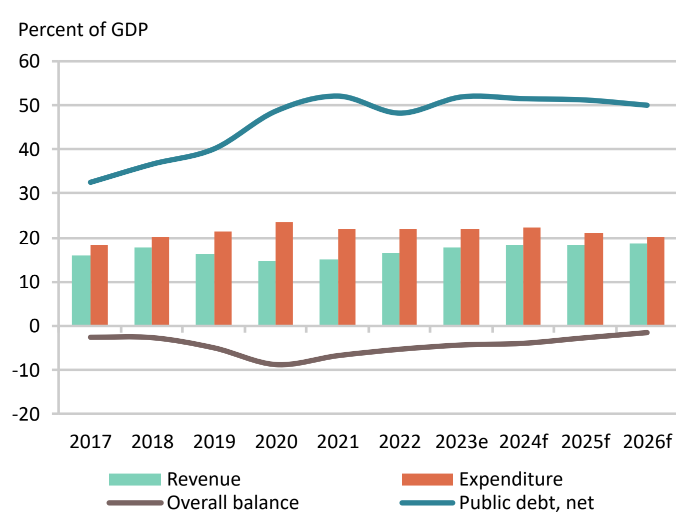
The pandemic exacerbated underlying fiscal weaknesses, and the government has embarked on a gradual fiscal consolidation to safeguard debt sustainability. As the economy recovered to pre-pandemic level, the government reduced the fiscal deficit from 8.8 percent of GDP in 2020 to 4.3 percent of GDP in 2023. Most of the improvement came from resource revenue. In 2023, total revenue increased by 1.4 percentage points of GDP relative to 2022, mostly driven by tax revenue and partly offset by

FIGURE 1 Papua New Guinea / Real GDP growth and contributions to real GDP growth



Source: World Bank staff estimates and forecast.

FIGURE 2 Papua New Guinea / Key fiscal and debt indicators



Source: World Bank staff estimates and forecast.

lower-than-expected dividend payments from state-owned enterprises and entities (foremost by Kumul Petroleum Holding). Meanwhile, the non-resource primary balance(a better measure of the underlying fiscal position unaffected by the volatile resource revenue) did not improve between 2021 and 2023.

Headline inflation decelerated from 6.3 percent in 2022Q3 to 0.1 percent in 2024Q2, year-on-year, mostly driven by lower prices for locally produced food item (betelnut). Meanwhile, core inflation stayed at 4 percent at end-2023, below the historic average. Supported by an IMF-funded program, the Bank of Papua New Guinea (BPNG) allowed, since May 2023, gradual and moderate depreciation of kina to USD. From January 2024, BPNG implemented a crawl-like exchange rate arrangement. To ensure consistency with the new arrangement and keep inflation expectations in check, the BPNG has started to tighten its monetary policy. Since February 2024, BPNG increased the policy rate by a cumulative 100 basis points, to 3 percent.

Monetary poverty likely increased during the initial phases of the COVID-19 pandemic before rebounding to pre-pandemic levels by 2022. High-frequency mobile phone surveys conducted at the beginning of the pandemic found that food insecurity was higher than measured during the 2016-2018 Demographic and Health Survey (DHS). By 2022, food insecurity and employment had both rebounded in these surveys, and food insecurity rates were indistinguishable from estimates in the 2016-2018 DHS. Nevertheless, phone surveys conducted in 2023-2024, confirm that high levels of food insecurity remain a widespread issue.

Outlook

Growth is projected to accelerate in 2024-2025, mostly due to the reopening of the Porgera gold mine. The mine restarted operations in early 2024 and reached normal levels of production by mid-year, so it is expected to boost growth dynamics for both years. Brief violence and looting in January 2024 are likely to have had only a limited and temporary impact on the economy. Medium-term growth is expected to settle at 3 percent. This projection does not account for potential new resource mega-projects, like Papua LNG. Thus, the final investment decision and the initiation of construction present an upside risk to the outlook. Meanwhile, slower-than-expected economic growth could materialize through lower export demand, a more pronounced decline in commodity prices, an impact on business confidence from political instability, and the impact of droughts and other climate-related events.

The growth model has not been sufficiently inclusive and needs an adjustment. There is evidence that the poverty rate at the International Poverty Line of $2.15 (2017 PPP) hasn't declined, imputed to be 39.3 percent based on the 2016-2018 DHS, and is about four times higher than in countries with a similar per capita GDP. To change the situation, the country needs to focus on (1) ensuring prudent macroeconomic policy management, (2) deepening and widening access to quality services to build human capital; (3) enabling private sector development for job creation and inclusive growth; and (4) promoting resilience and environmental sustainability.

TABLE 2 **Papua New Guinea** / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	-0.8	5.2	2.7	4.6	3.7	3.4
Real GDP growth, at constant factor prices	-1.0	5.8	2.7	4.6	3.7	3.4
Agriculture	1.1	3.1	4.2	3.8	3.5	3.4
Industry	-7.8	5.6	-1.5	5.6	4.3	2.8
Services	4.4	7.1	5.5	4.2	3.3	3.9
Inflation (consumer price index)	4.5	5.3	2.3	4.1	4.8	4.8
Current account balance (% of GDP)	22.2	33.0	23.0	23.5	22.9	22.0
Net foreign direct investment inflow (% of GDP)	-1.5	-1.2	-1.1	-1.3	-1.3	-1.3
Fiscal balance (% of GDP)	-6.9	-5.3	-4.3	-3.7	-2.5	-1.3
Revenues (% of GDP)	15.2	16.7	17.7	18.3	18.5	18.8
Debt (% of GDP)	52.8	48.4	52.4	52.3	51.9	50.2
Primary balance (% of GDP)	-4.4	-3.0	-1.8	-0.8	0.5	1.5
GHG emissions growth (mtCO2e)	-1.0	0.1	0.1	0.1	0.0	0.0
Energy related GHG emissions (% of total)	13.0	12.9	12.8	12.6	12.4	12.2

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

PHILIPPINES

Table 1	2023
Population, million	117.3
GDP, current US$ billion	437.1
GDP per capita, current US$	3725.6
International poverty rate ($2.15)[a]	3.0
Lower middle-income poverty rate ($3.65)[a]	17.8
Upper middle-income poverty rate ($6.85)[a]	55.3
Gini index[a]	40.7
School enrollment, primary (% gross)[b]	91.9
Life expectancy at birth, years[b]	72.2
Total GHG emissions (mtCO2e)	260.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2021), 2017 PPPs.
b/ Most recent WDI value (2022).

The growth momentum was sustained in the first half of 2024 despite moderating household consumption. Domestic demand was buoyed by higher public consumption and investment. Medium-term growth is expected to average 6.0 percent per year in 2024-2026, driven by robust domestic demand, benefitting from accommodative monetary policy and an improving external environment. Poverty incidence decreased in 2023 and is projected to fall to 11.3 percent by 2026.

Key conditions and challenges

Macroeconomic policies have become more supportive of growth amid moderating household consumption and increasing external uncertainty. Higher public consumption and investment spending have buoyed domestic demand as the government expedited programs and projects. The return of inflation to the target range has allowed the central bank to reduce the policy rate. Managing price pressures will remain crucial to the shift toward a more accommodative monetary policy. Facilitating commodity imports plays an important role in containing food inflation as extreme weather events continue to pose downside risks to domestic supply. External trade has recovered but remains weak given slowing growth in major economies along with increased macroeconomic and geopolitical uncertainty. Monetary policy easing in major economies, including the US, could help stabilize global growth and provide more space for monetary policy normalization domestically.

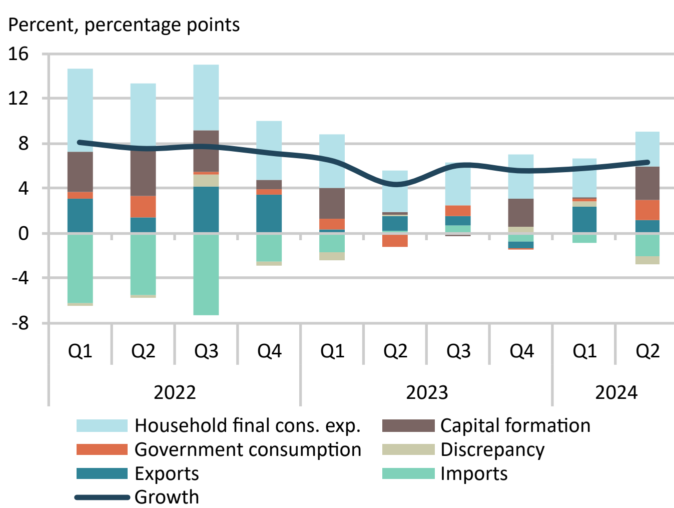
In the longer term, strengthening disaster management and preparedness efforts will be key to increasing agricultural productivity and resilience to climate-related risks. Mitigating vulnerability to supply shocks will help keep inflation and interest rates low, supporting consumption and investment spending. To maximize the impact of public spending, efficient budget execution will be crucial as the pace of public spending slows in line with the medium-term fiscal consolidation program. Sustained infrastructure and social spending will hinge on the government's ability to raise new revenues. Further structural reforms, particularly in the competition and regulatory space, will also be necessary to increase private investment and productivity.

Recent developments

The economy expanded by 6.0 percent year-on-year in the first half of 2024 as a robust labor market and steady remittance inflows underpinned household consumption growth despite the higher cost of living. Private investment growth slowed, impacted by global uncertainty and elevated interest rates, which dampened lending for production activities. Services remained the primary growth driver, led by wholesale and retail trade and financial activities. Growth was buoyed further by the industry sector, supported by public construction, a modest recovery in manufacturing, and an increase in goods exports.

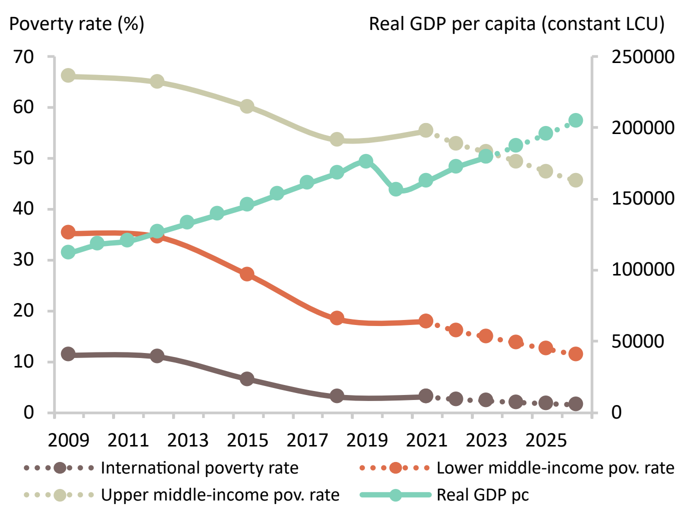
Headline inflation declined to 3.6 percent in the first eight months of 2024 (6.6 percent in the same period in 2023) due to slower increases in the prices of energy, housing, and most food items. However, rice price inflation remains elevated, prompting the government to augment domestic supply by lowering tariffs on rice imports. Underlying price pressures

FIGURE 1 Philippines / Real GDP growth and contributions to real GDP growth



Source: Philippines Statistics Authority.

FIGURE 2 Philippines / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

continued to ease as core inflation declined to 3.2 percent in January-August 2024 (7.4 percent in the same period in 2023). The BSP cut its key policy rate by 25 bps in August, as inflation has remained on a target-consistent path and well-anchored inflation expectations.

The fiscal deficit stood at 4.9 percent of GDP in H1 2024, below the target of 5.3 percent. The narrower deficit was driven by higher non-tax revenues from dividend remittances by government-owned and controlled corporations and steady tax revenue growth. As a result, the national government debt remained largely the same compared to the same period last year.

Poverty incidence declined from 18.1 percent in 2021 to 15.5 percent in 2023. Despite the overall decline, there were provinces with rising poverty, most of which were affected by extreme weather events like El Nino and typhoons. The labor market is consistently improving, suggesting that household incomes may continue to rise and poverty levels to decrease. Robust domestic activity led to the creation of 1.4 million jobs in June 2024 compared to June 2023, primarily driven by increased employment in the construction, hospitality, and transportation sectors. The unemployment rate decreased from 4.5 percent in June 2023 to 3.1 percent in June 2024. However, underemployment has remained steady at 12.1 percent in June 2024.

Outlook

The medium-term outlook remains favorable, averaging 6.0 percent in 2024-26. Strong growth will be driven by robust domestic demand, benefitting from more accommodative monetary policy, and sustained public investment. Private consumption will remain as the main growth engine, supported by steady remittance inflows, a healthy labor market, and lower inflation. Improving investment activity will also support growth, as public investment will remain above 5.0 percent of GDP despite fiscal consolidation. Declining real interest rates will benefit both private investment and household consumption. Meanwhile, external demand will continue to firm up over the forecast horizon, as global growth gradually improves over the forecast horizon.

The fiscal deficit is projected to fall to 4.6 percent of GDP by 2026. The lower deficit will be driven by a reduction in public spending through improvements in spending efficiency and cuts to current spending. Meanwhile, the passage of several priority tax laws, improvements in tax administration, and an increase in dividend remittances by government-owned and controlled corporations is expected to strengthen revenue collection.

The continuous improvement in the labor market and the easing of inflation will likely boost growth in household incomes. Poverty is expected to continue to decline but extreme climatic events pose risks. Poverty incidence is projected to decrease from 17.8 percent in 2021 to 13.6 percent in 2024 and further decrease to 11.3 percent in 2026, using the World Bank's poverty line for lower-middle-income countries of $3.65/day, 2017 PPP.

Risks to the outlook remain tilted to the downside. On the external front, a slowdown in the global economy could weigh on growth through softer external demand. Weaker-than-expected growth in China would dampen growth, given significant trade linkages. On the domestic front, food security may be challenged given persistent weakness in agriculture output, especially in the presence of a stronger-than-expected episode of La Niña. Future commodity price shocks caused by geopolitical conflicts, an increase in trade restrictions, and climate-related disasters remain the main downside risks.

TABLE 2 Philippines / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	5.7	7.6	5.5	6.0	6.1	6.0
Private consumption	4.2	8.3	5.6	5.0	5.8	5.6
Government consumption	7.2	5.1	0.6	8.9	7.8	7.6
Gross fixed capital investment	9.8	9.8	8.2	7.8	8.1	8.7
Exports, goods and services	8.0	11.0	1.4	5.7	6.1	6.2
Imports, goods and services	12.8	14.0	1.0	5.6	7.5	7.7
Real GDP growth, at constant factor prices	5.7	7.6	5.5	6.0	6.1	6.0
Agriculture	-0.3	0.5	1.2	0.5	1.0	1.1
Industry	8.5	6.5	3.6	4.2	4.4	4.5
Services	5.4	9.2	7.1	7.5	7.5	7.3
Inflation (consumer price index)	3.9	5.8	6.0	3.6	3.2	3.0
Current account balance (% of GDP)	-1.5	-4.5	-2.6	-1.8	-1.4	-1.2
Net foreign direct investment inflow (% of GDP)	3.0	2.3	2.0	2.0	1.8	1.8
Fiscal balance (% of GDP)	-8.6	-7.3	-6.2	-5.6	-5.2	-4.6
Revenues (% of GDP)	15.5	16.1	15.7	16.0	16.0	16.2
National Government Debt (% of GDP)	60.4	60.9	60.1	59.5	59.2	58.7
Primary balance (% of GDP)	-6.4	-5.0	-3.6	-3.1	-2.2	-1.7
International poverty rate ($2.15 in 2017 PPP)[a,b]	3.0	2.5	2.2	1.9	1.7	1.4
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	17.8	16.0	14.9	13.6	12.5	11.3
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	55.3	52.8	51.1	49.3	47.3	45.4
GHG emissions growth (mtCO2e)	4.9	5.4	4.0	5.8	5.0	6.3
Energy related GHG emissions (% of total)	57.1	57.7	57.7	58.6	59.1	60.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2021-FIES. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.
b/ Projection using neutral distribution (2021) with pass-through = 0.7 (Low (0.7)) based on GDP per capita in constant LCU.

SOLOMON ISLANDS

Table 1	2023
Population, million	0.7
GDP, current US$ billion	1.8
GDP per capita, current US$	2368.1
International poverty rate ($2.15)[a]	26.6
Lower middle-income poverty rate ($3.65)[a]	61.0
Upper middle-income poverty rate ($6.85)[a]	88.5
Gini index[a]	37.1
School enrollment, primary (% gross)[b]	104.3
Life expectancy at birth, years[b]	70.7
Total GHG emissions (mtCO2e)	46.4

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2012), 2017 PPPs.
b/ WDI for School enrollment (2019); Life expectancy (2022).

The economy is expected to grow by 2.5 percent in 2024, driven by national election related spending and public infrastructure investments in the energy and transportation sectors. In the medium term, growth is projected to average 2.8 percent of GDP, which is expected to reduce poverty, while the fiscal deficit is expected to average 2.9 percent of GDP. State fragility, climate change, and subdued global economic conditions pose downside risks.

Key conditions and challenges

Solomon Islands is a small, remote archipelago with 721,000 people scattered across 90 inhabited islands. Geographic dispersion, remoteness from global markets, and vulnerability to natural calamities all provide substantial obstacles to development. Limited state capacity and political economic dynamics frequently impede the design and implementation of sound public policies. Poor infrastructure, widespread underemployment, and a limited private sector pose significant growth challenges. The Solomon Islands are particularly vulnerable to natural calamities such as earthquakes, cyclones, and tsunamis, which may cause significant economic harm.

The logging sector has historically been a significant driver of growth in the Solomon Islands, however, due to unsustainable extraction the logging sector is in rapid decline, pointing to the need for new sources of growth. World Bank phone survey data collected in the first half of 2024 indicates that food insecurity remains elevated, with about half the population being worried that they did not have enough food to eat in the past 30 days and having to skip a meal in the past 30 days. According to the 2012/13 Household Income and Expenditure Survey (HIES), 61 percent of the population was considered poor based on the lower-middle-income poverty line ($3.65 per day in 2017 PPP).

Recent developments

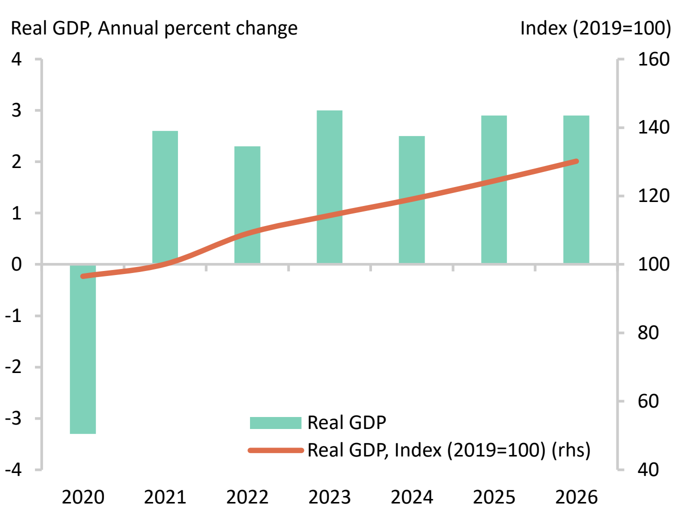
The economy returned to 3 percent growth in 2023, driven by the 2023 Pacific Games, election-related public spending, and a large number of construction projects. Increased international visitor arrivals had a positive impact on the accommodation, restaurant, and transportation sectors. In 2024, growth is expected to reach 2.5 percent, driven by public investment. Data from high-frequency phone surveys indicate that employment has largely remained unchanged in the first months of 2024.

Inflation reached 4.7 percent in 2023 and dropped further to 3.6 percent in June 2024. In March 2024, the Central Bank of Solomon Islands (CBSI) maintained a tight monetary policy stance, holding the cash reserve ratio at 6 percent. The financial sector remains relatively stable, with well-capitalized banks and adequate liquidity levels.

The current account deficit reached 12.9 percent of GDP in 2023, due to a decline in logging and agricultural exports. Foreign reserves fell from 9.5 months of imports in 2022 to 8.4 months of imports by the end of 2023, still above the reserve adequacy range of four to seven months of imports. The current account deficit was financed through external concessional borrowing and foreign direct investment inflows.

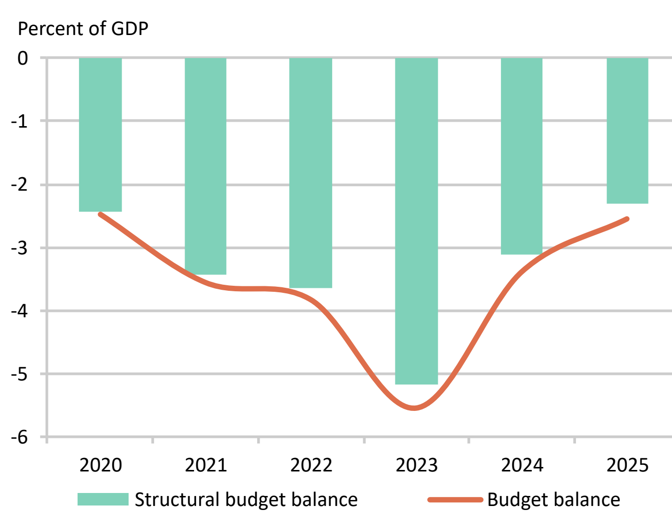
The fiscal deficit in 2023 is estimated at 5.5 percent of GDP. Total revenues expanded slightly to reach 28.4 percent of GDP. The government managed to contain expenditure growth, despite facing substantial spending demands, including

FIGURE 1 Solomon Islands / Real GDP



Sources: IMF and World Bank calculations.

FIGURE 2 Solomon Islands / Fiscal balance



Sources: IMF and World Bank calculations.

expenditures related to the Pacific Games and election preparations. Expenditures increased slightly to 33.8 percent in 2023, explained largely by an increase in development spending. Public debt increased to 18.8 percent of GDP in 2023, up from 15.7 percent of GDP in 2022, due to a rising primary fiscal deficit.

Outlook

The economy is expected to grow by 2.8 percent in the medium term 2024–26. A large infrastructure pipeline and increased mining activity are expected to offset a projected decline in logging. The labor mobility program is expected to contribute to economic activity through the remittance channel. Inflation is projected to average 3.4 percent during 2024-2026 amid cooling energy and food prices. Poverty is expected to decline with projected economic growth and increasing remittances. The new HIES, which is to be collected in 2024/25, will help update the poverty measure.

The current account deficit is projected to remain substantial, averaging 6.9 percent of GDP over the period of 2024-26. This is primarily due to increased import needs from infrastructure projects and an expected decline in logging exports. International reserves are expected to decline to 7 months of imports while remaining adequate.

After reaching 3.4 percent of GDP in 2024, the fiscal deficit is projected to decline over the medium term, reaching 2.8 percent of GDP in 2026. This partly reflects declining recurrent expenditure and the normalization of development grants after the pandemic and election preparations. Public debt is considered sustainable, and the external and overall risk of debt distress is moderate.

Subdued global economic conditions, climate shocks, low levels of cash buffers, and social instability pose downside risks. An expansion of the tourism industry and increasing participation in regional labor mobility programs may provide economic benefits, while second order impacts of infrastructure investment may drive a stronger recovery. Subdued global economic conditions may lower demand for commodity exports, particularly logs, with negative consequences for growth, the current account balance, and government finances.

TABLE 2 Solomon Islands / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.6	2.3	3.0	2.5	2.9	2.9
Real GDP growth, at constant factor prices	2.6	2.3	3.0	2.5	2.9	2.9
Agriculture	3.4	3.3	1.8	1.2	2.0	1.8
Industry	1.5	1.0	5.0	6.5	4.5	4.5
Services	2.4	2.0	3.2	2.2	2.9	3.1
Inflation (consumer price index)	-0.1	5.5	4.7	3.7	3.3	3.3
Current account balance (% of GDP)	-6.0	-15.5	-12.9	-8.3	-7.1	-5.2
Net foreign direct investment inflow (% of GDP)	1.5	2.3	1.7	1.5	1.3	1.2
Fiscal balance (% of GDP)	-3.6	-3.8	-5.5	-3.4	-2.6	-2.8
Revenues (% of GDP)	27.6	27.3	28.4	24.6	26.1	26.3
Debt (% of GDP)	15.1	15.7	18.8	21.7	24.5	27.1
Primary balance (% of GDP)	-3.3	-3.6	-5.1	-2.9	-2.1	-2.3
GHG emissions growth (mtCO2e)	0.1	0.0	0.0	0.0	0.0	0.0
Energy related GHG emissions (% of total)	0.7	0.7	0.7	0.7	0.7	0.7

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.

SOUTH PACIFIC ISLANDS

Table 1	WSM	TON	VUT
Population, million	0.23	0.11	0.33
GDP, current US$ billion	0.93	0.52	1.10
GDP per capita, current US$	4114	4886	3323
LMIC poverty rate ($3.65)	10.5[a]	1.6[b]	34.9[c]
Gini index	38.7[a]	27.1[b]	32.3[c]

Source: WDI, World Bank, and official data.
Notes: The actual year for the table data is 2023.
Abbreviations: LMIC = Lower middle-income;
WSM = Samoa; TON = Tonga; VUT = Vanuatu.
a/ Most recent value (2013), 2017 PPPs.
b/ Most recent value (2021), 2017 PPPs.
c/ Most recent value (2019), 2017 PPPs.

The economies of Samoa, Tonga, and Vanuatu expanded in FY23, largely driven by a resurgence in travel and reconstruction activities while benefitting from remittances. Although economies are projected to recover to pre-pandemic levels in 2024-25, uncertainties in the global environment pose risks to the outlook to increase potential growth, governments must embark on structural reforms that can boost investment, and adapt fiscal policy to promote resilience to mitigate future shocks.

Key conditions and challenges

Due to their high exposure to tourism and travel, the countries are susceptible to external shocks such as those caused by COVID-19. Combined with the natural disasters, shocks have resulted in significant setback in economic growth and fiscal sustainability. Supply bottlenecks, particularly in the aftermath of disasters, amid heightened demand, including for reconstruction, continue to exert pressures on price and threaten livelihoods. Fiscal policy should aim to support more adaptive and targeted social protection systems while continuing to build fiscal space to mitigate vulnerability to external shocks. Finally, boosting potential growth through increased investment will require implementing structural reforms that foster a conducive environment for business and the private sector. In the near term, this includes ramping up reconstruction efforts in Tonga and Vanuatu following recent natural disasters.

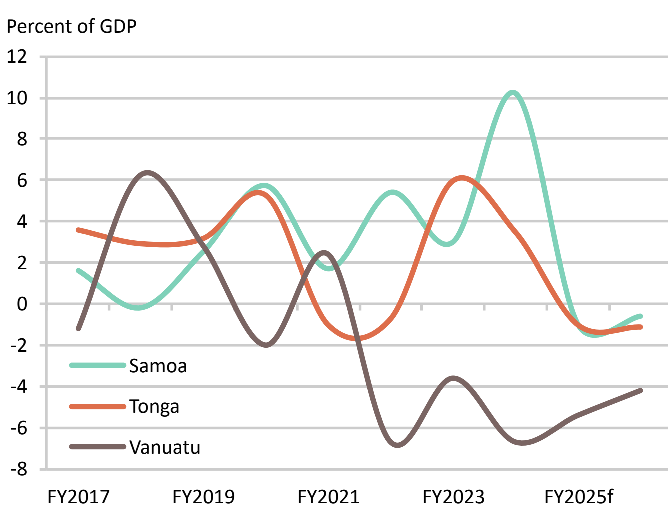
Recent developments

In **Samoa**, growth rebounded strongly by 8 percent in FY23, following three consecutive years of economic contraction, fueled by a strong pick up in tourism post border reopening and robust remittance inflows. Inflation surged to 12.0 percent in FY23 but has been easing. The current account deficit narrowed significantly to 4 percent of GDP in FY23 compared to 11.3 percent of GDP in FY22, primarily on account of strong tourism earnings and remittances. The government recorded another year of fiscal surplus of around 3 percent of GDP in FY23, supported by buoyant revenue collections and lower recurrent expenses. Unemployment has dropped from 14.5 percent to 5.0 percent between 2017-2021, with youth unemployment (ages 15-24) dropping from 31.9 percent to 13.4 percent, and informality dropping from 37.3 percent to 25.3 percent in the same period.

In **Tonga**, the economy grew by an estimated 2.0 percent in FY23, up from near-zero growth in FY22, driven by household consumption supported by remittances, tourism recovery, and public sector investment. Inflation reached 10 percent in FY23 due to domestic supply disruptions, while the current account deficit remained at 6.7 percent as imports supported reconstruction. A fiscal surplus of 6 percent of GDP was recorded, mainly due to high grant inflows and slower reconstruction spending. Poverty rates in 2021 were 1.6 percent based on the lower-middle-income line and 21.5 percent using the upper-middle-income line. About half of households answering the World Bank phone surveys in early 2024 expressed concerns about their financial status in the coming month.

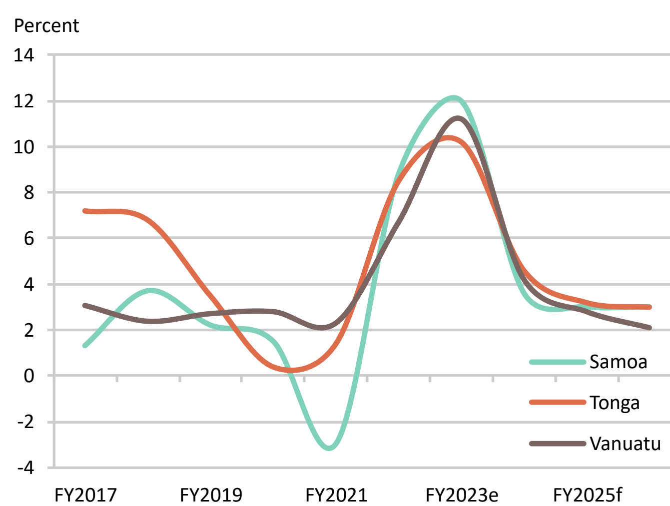
In **Vanuatu**, despite the impact of twin cyclones earlier in the year and growth initially being downgraded, growth reached 2.2 percent in FY23. Economic activity was mainly attributed to the industry and services sectors, especially as tourist arrivals

FIGURE 1 South Pacific Islands / Overall fiscal balance



Sources: National sources and World Bank projections.

FIGURE 2 South Pacific Islands / Inflation (annual average)



Sources: National sources and World Bank projections.

improved, reaching 65 percent of pre-covid levels. In the agriculture sector, the contraction from cyclone damage was less severe than anticipated. Inflation is estimated to have averaged 11.2 percent, mainly owing to domestic supply chain disruptions caused by the cyclone impacts, minimum wage factors, and high food prices, which could disproportionately affect poorer households. A current account deficit of 2.2 percent of GDP is estimated, as pick up in remittances and tourism increased demand for imports. A fiscal deficit of 3.6 percent of GDP was recorded, an improvement from 2022, bolstered by strong Value Added Tax (VAT) revenue amid delayed project spending.

Outlook

In **Samoa**, the economy is projected to grow by a further 10.5 percent in FY24, followed by an average growth of 4.5 percent in FY25 and FY26, driven by a tourism rebound and service sector growth. Inflation subsided in FY24 to 3.6 percent and is expected to ease over the medium term. The current account balance is set to narrow to a surplus of 2.3 percent of GDP, supported by tourism and remittances, amid a dip in imports. A fiscal surplus of 10.2 percent of GDP is estimated for FY24 due to strong tax revenue and modest capital expenditure. However, a fiscal deficit of 1.0 percent of GDP is projected for FY25 due to an increase in spending for the Commonwealth Heads of Government Meeting in October 2024. Poverty rates are likely to return to pre-pandemic levels in line with regional peers.

In **Tonga**, growth is projected at 1.8 percent in FY24, due to a slowdown of agricultural production. Growth is expected to accelerate to 2.4 percent in FY25 due to strong domestic demand, public investments, and a rebound in agriculture as El Niño effects fade. Headline inflation is anticipated to reach below the 5 percent reference rate in FY24, driven by a steady decline in core prices, and continue to subside. The current account deficit is forecast to widen to 7.4 percent of GDP in FY24, driven by construction-related imports. The fiscal balance is projected to remain in surplus at 3.5 percent of GDP in FY24 due to high grant inflows and strong tax collection but may swing to a deficit in FY25 as grants normalize and public spending stays elevated. With the projected steady economic growth, the poverty rate measured with the upper-middle-income poverty line is likely to decline to 16.0 percent in 2026.

In **Vanuatu**, the economy faced a major shock in 2024 with the liquidation of Air Vanuatu, significantly impacting tourism and related sectors, as well as overall economic activity. Growth is projected at only 0.9 percent in 2024, with a gradual recovery expected by 2025. Inflation is set to moderate to 4.2 percent as supply bottlenecks ease. The current account deficit is projected at 7.4 percent of GDP due to lower tourism receipts. The fiscal deficit is forecasted at 6.7 percent of GDP due to reduced non-tax revenues and increased liquidation-related expenditures. Poverty is expected to rise to 48.5 percent by 2026 as income growth remains weak.

TABLE 2 South Pacific Islands / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices						
Samoa	-7.1	-5.3	8.0	10.5	5.5	3.5
Tonga	-1.3	0.1	2.0	1.8	2.4	2.0
Vanuatu	-1.6	1.9	2.2	0.9	1.5	2.1
Poverty rate[a,b]						
Tonga (Upper middle-income poverty rate, $6.85 in 2017 PPP)	21.5	21.3	19.4	18.1	16.9	16.0
Vanuatu (Lower middle-income poverty rate, $3.65 in 2017 PPP)	42.4	43.8	44.4	46.1	47.5	48.5

Sources: World Bank and IMF.
Notes: e = estimate; f = forecast. Financial years for Samoa and Tonga are July-June, for Vanuatu it is January-December. Samoa improved the methodology for GDP calculation and revised the historical data in March 2022 GDP release.
a/ Calculations based on EAPPOV harmonization, using 2021-HIES for Tonga and 2019-NSDP for Vanuatu.
b/ Projection using neutral distribution with pass-through = 1 (High) based on GDP per capita in constant LCU.

THAILAND

Table 1	2023
Population, million	71.8
GDP, current US$ billion	515.0
GDP per capita, current US$	7172.1
Upper middle-income poverty rate ($6.85)[a]	12.2
Gini index[a]	34.9
School enrollment, primary (% gross)[b]	99.7
Life expectancy at birth, years[b]	79.7
Total GHG emissions (mtCO2e)	480.2

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2021), 2017 PPPs.
b/ WDI for School enrollment (2023); Life expectancy (2022).

While lagging ASEAN peers, Thailand's real GDP growth is projected to accelerate to 2.4 percent in 2024, driven by the recovery of private consumption and tourism. Inflation remains subdued amid still sluggish domestic demand. Poverty is projected to decline to 8.2 percent in 2024, supported by accelerating growth, easing inflation. While consumption stimulus may boost short-term growth, structural reforms are needed to elevate long-term growth.

Key conditions and challenges

Stronger goods export growth, expansion in private consumption, and tourism recovery contributed to a modest pickup in growth. Fiscal spending accelerated after a seven-month delay. The severe flood in northern Thailand damaged agricultural, fishery, and livestock areas, potentially putting pressure on food prices. The upside risk to growth has risen with the increasing likelihood of the digital wallet program, a large-scale cash handout scheme targeting more than 45 million citizens, being implemented. If well targeted at vulnerable households, they could boost domestic consumption in the short term but will add pressure to the public debt.

The goods exports recovery lagged most major Asian exporters. The goods trade surplus remained below pre-pandemic level, driven by persistently high oil import bills and a rising trade deficit with China. Weak Chinese demand and increasing imports, induced by trade diversion due to the US-China tensions, were the drivers.

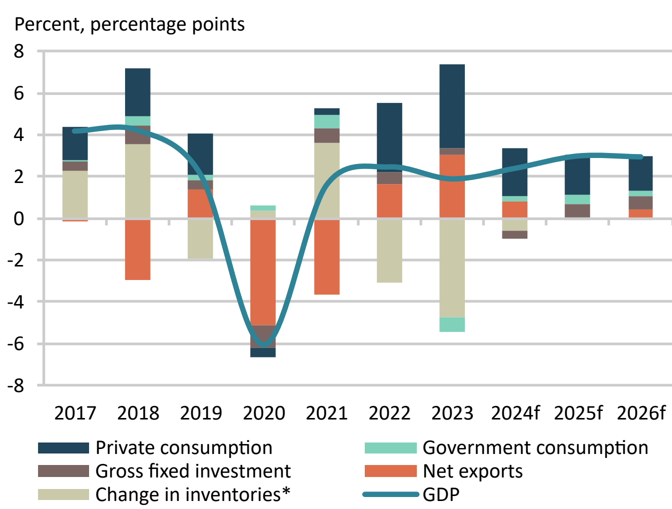
In the medium term, potential growth is facing headwinds from structural challenges such as aging and slowing productivity growth. Poverty has declined, but the pace is slowing due to sluggish growth in household incomes and difficulties in reaching the remaining poor. While consumption-stimulus measures targeted at low-income households can support poverty reduction in the short term, structural challenges and risks remain. Financial stress associated with high levels of household debt persist and the escalating impact of climate events on low-income households remain significant obstacles to poverty reduction.

Recent developments

In Q2 2024, the economy expanded 2.3 percent (year-on-year), slightly higher than 1.6 percent in the previous quarter. On a quarterly basis, GDP increased by 0.8 percent (seasonally adjusted). Growth was boosted by sustained expansion in private consumption, and tourism recovery. Manufacturing output turned slightly positive for the first time in seven quarters. In contrast, private and public investment contracted sharply. There was a significant rundown of inventory amidst both external and domestic uncertainties. Goods exports recovery remained slow. Thailand's recovery continued to lag ASEAN peers and post-covid growth averaged 2.1 percent, well below the pre-pandemic average of 3.4 percent (2015-2019).

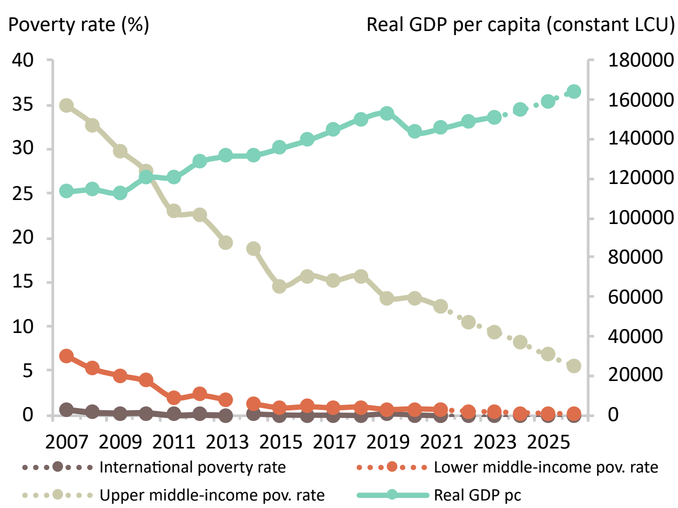
In July, headline inflation reached 0.8 percent, marking the second lowest rate among emerging markets, trailing only behind China. Energy prices increased due to the gradual reduction of subsidies, despite falling global oil prices. Food inflation remained elevated. Core inflation remained subdued at 0.5 percent, below the pre-pandemic average of 0.7 percent from 2016-2019, reflective of the lingering

FIGURE 1 Thailand / Real GDP growth and contributions to real GDP growth



Sources: World Bank staff calculations and NESDC.
Note: *Includes statistical discrepancy.

FIGURE 2 Thailand / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

output gap. The Bank of Thailand kept the policy rate unchanged at 2.5 percent in anticipation of inflation returning to its target range (1-3 percent) by end-2024 amid continued economic recovery. Public debt reached 63.5 percent of GDP. In August, the Thai baht appreciated due to expectations of the Fed's easing cycle and a current account surplus.

Unemployment remained low at 1.1 percent in Q2 2024, unchanged from the previous year. Non-farm employment picked up over the past year, with the economy adding 180,000 manufacturing jobs and 230,000 service jobs. Despite the robust labor market, household income grew at a modest rate of 3 percent per year during 2021-2023. Household debt levels declined in 2023 but remained high at nearly seven times the average household income. Sluggish income growth, high inflation, and financial stress put pressure on real household consumption, which on average grew by a mere 1 percent per year during 2021-2023. Consumption of low-income households grew slightly faster, and the poverty headcount rate (based on the upper middle-income poverty line of 6.85 dollars a day, 2017 PPP) was estimated to have declined from 12.2 percent to 9.4 percent during 2021-2023.

Outlook

Growth to accelerate from 1.9 percent in 2023 to 2.4 percent in 2024. Growth in the second half of the year is expected to improve further with support from the acceleration of budget execution and goods exports. Tourism and private consumption will remain the key drivers this year, but the pace is slowing. Tourism is projected to return to pre-pandemic levels in mid-2025. Goods exports are expected to grow 2.4 percent this year in value of USD term, due to favorable global trade despite the slowing Chinese economy. In 2025, growth is projected to accelerate to 3.0 percent boosted by private consumption and an investment rebound.

Headline inflation will slow to a regional low of 0.7 percent in 2024, below the central bank's target range, due to the moderation in food and energy prices and a negative output gap. The fiscal deficit is projected to narrow in FY24 due to the budget delay, before widening in FY25 to 3.3 percent of GDP as budget execution normalizes, in line with the government's medium-term fiscal framework. The flagship Digital Wallet, which is not yet included in the baseline, could potentially boost near-term growth further by 0.5-1.0 percentage points at a substantial fiscal cost of THB 450 billion (2.4 percent of GDP).

Poverty is projected to decline to 8.2 percent in 2024, supported by accelerating growth and easing inflation. The one-time cash transfer to 14.6 million state welfare cardholders, if implemented in 2024, is expected to further enhance poverty reduction efforts. However, ongoing flood damage may offset some of these gains. In the medium term, sustainable progress in poverty reduction will depend on addressing structural challenges to improve labor income and maintain support for vulnerable populations.

TABLE 2 Thailand / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	1.6	2.5	1.9	2.4	3.0	2.9
Private consumption	0.6	6.2	7.1	3.9	3.2	2.8
Government consumption	3.7	0.1	-4.6	1.6	3.1	1.8
Gross fixed capital investment	3.1	2.3	1.2	-1.5	2.8	2.8
Exports, goods and services	11.1	6.1	2.1	4.3	3.9	3.0
Imports, goods and services	17.8	3.6	-2.3	3.2	4.1	2.5
Real GDP growth, at constant factor prices	1.9	3.2	1.9	2.4	3.0	2.9
Agriculture	2.5	1.4	2.0	1.5	2.0	2.4
Industry	6.0	3.6	-2.3	1.2	2.7	3.6
Services	-0.3	3.1	4.3	3.1	3.2	2.6
Inflation (consumer price index)	1.2	6.1	1.2	0.6	1.3	1.2
Current account balance (% of GDP)	-2.0	-3.2	1.9	2.5	3.6	4.0
Net foreign direct investment inflow (% of GDP)	-0.8	0.7	-1.4	-1.1	-1.2	-1.1
Fiscal balance (% of GDP)	-6.7	-4.4	-2.0	-1.3	-3.3	-3.1
Revenues (% of GDP)	19.8	19.8	20.8	20.9	21.1	21.5
Debt (% of GDP)	57.7	59.7	62.1	63.1	64.9	66.6
Primary balance (% of GDP)	-5.4	-3.1	-0.8	-0.1	-2.1	-1.9
International poverty rate ($2.15 in 2017 PPP)[a,b]	0.0	0.0	0.0	0.0	0.0	0.0
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	0.6	0.4	0.3	0.2	0.1	0.1
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	12.2	10.5	9.4	8.2	6.8	5.7
GHG emissions growth (mtCO2e)	2.7	1.6	1.9	1.1	2.7	3.0
Energy related GHG emissions (% of total)	53.7	53.0	52.5	51.3	50.4	49.4

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2016-SES and 2021-SES. Actual data: 2021. Nowcast: 2022-2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2016-2021) with pass-through = 1 based on GDP per capita in constant LCU.

TIMOR-LESTE

Table 1	2023
Population, million	1.4
GDP, current US$ billion	1.7
GDP per capita, current US$	1275.9
International poverty rate ($2.15)[a]	24.4
Lower middle-income poverty rate ($3.65)[a]	69.2
Gini index[a]	28.7
School enrollment, primary (% gross)[b]	110.7
Life expectancy at birth, years[b]	69.1
Total GHG emissions (mtCO2e)	6.0

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2014), 2017 PPPs.
b/ WDI for School enrollment (2020); Life expectancy (2022).

Growth slowed in 2023 due to low budget execution during the government transition. Inflation fell to 3.4 percent in early 2024, driven by non-food prices, though food prices remain high. Labor market challenges persist with declining participation, productivity, and wages. Growth is expected to average 3.5 percent from 2024-2026, led by government spending. Key risks include adverse weather, geopolitical tensions, and limited government absorptive capacity. Structural reforms and fiscal consolidation are essential for sustainable growth.

Key conditions and challenges

Timor-Leste's economy remains heavily dependent on public expenditure, with limited private sector development. This lack of economic dynamism has contributed to low growth, a stagnant labor market, and significant external imbalances. From 2013 to 2022, Timor-Leste's economic growth averaged just 1.1 percent, a steep decline from the 4.9 percent growth observed in the decade following independence (2003-2012). Additionally, other contributing factors include political instability and global disruptions caused by the COVID-19 pandemic and Cyclone Seroja, which collectively undermined earlier progress.

The Petroleum Fund, the primary source of funding for the state budget, is projected to be fully depleted within the next decade due to the cessation of production at the Bayu-Undan field in 2023 and withdrawals exceeding sustainable levels. This situation poses a significant sustainability risk for the country, requiring urgent alternative funding sources; otherwise, significant spending cuts will be unavoidable which could lead to sharp decline in public service delivery.

The impact of recent developments on poverty remains uncertain due to a lack of updated data, but there are worrying signs. Stagnant labor force participation and decreased productivity persist, with 77 percent of employment being informal as of 2021, leaving many workers vulnerable to economic shocks. Public sector jobs have become increasingly dominant due to low job creation in the private sector.

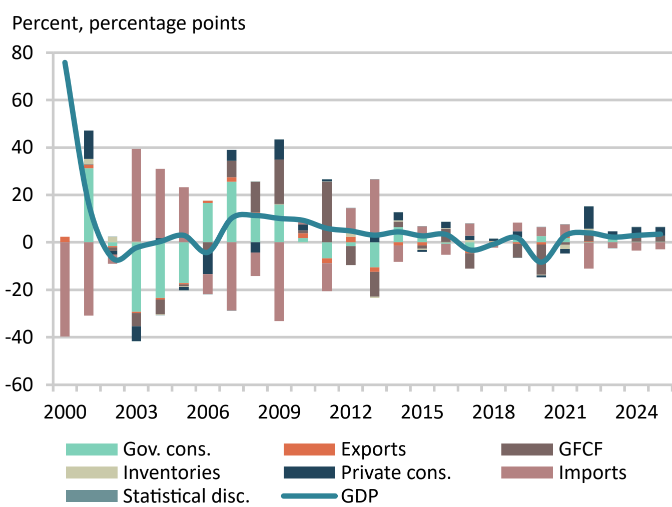
Recent developments

Preliminary government estimates suggest slower economic growth in 2023, at 2.3 percent, down from 2.9 percent in 2021. This slowdown is largely attributed to subdued budget execution during the government transition period between May and October. Budget revisions and extensive government restructuring have likely disrupted public spending. However, increased private consumption, supported by remittance inflows, helped sustain economic activity. The trade deficit remained large but grew more slowly, bolstered by gains in the services sector from increased foreign visits during and after the election period. Nonetheless, limited domestic production continues to drive up imports to meet demand for both consumption and investment.

Headline inflation decreased to 3.4 percent yoy in the first half of 2023, down from 9 percent during the same period in 2022. While non-food prices fell, food and non-alcoholic beverage prices rose by an average of 7 percent, impacting overall inflation given that food constitutes over half of the CPI consumption basket. The appreciation of the US dollar (legal tender) also helped ease inflationary pressures.

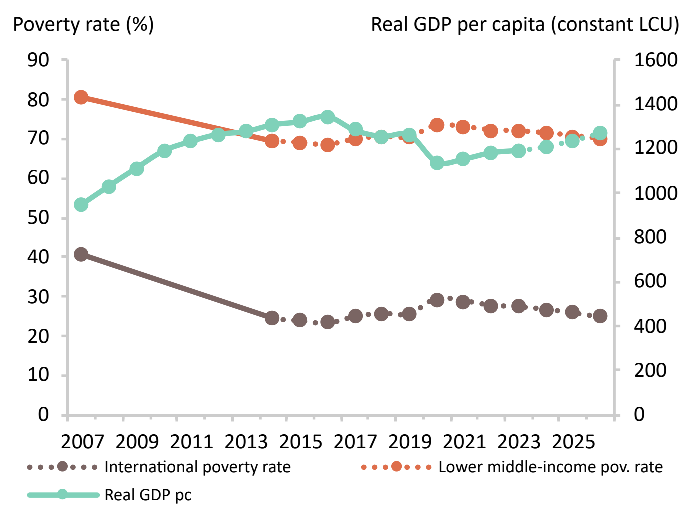
Despite steady growth in tourism-related service exports declines in oil, gas, and

FIGURE 1 Timor-Leste / Real GDP growth and contributions to real GDP growth



Sources: Timor-Leste's Statistics Office (INETL) and World Bank staff calculations.

FIGURE 2 Timor-Leste / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

coffee production have narrowed the export base even further, exacerbating external imbalances. Imports remain high due to limited domestic production, with the trade deficit widening from 34 percent in 2022 to 43 percent in 2023. The same trend continued into the first half of 2024. Timor-Leste's recent accession to the WTO offers potential to enhance international market access and foster partnerships that could accelerate development.

Outlook

The economy is projected to continue its recovery, with growth of around 3 percent expected in 2024, accelerating to an average of 3.8 percent during 2025-2026. Government expenditure will remain the main driver of this growth. Higher budget execution, above historical averages, will be necessary to achieve these targets. At the same time, more efficient public investments are crucial to addressing infrastructure deficiencies and lowering costs for the private sector. Without significant fiscal reforms, the fiscal deficit is projected to remain at around 47.9 percent of GDP over the medium term, with additional withdrawals from the Petroleum Fund continuing to be the primary financing source.

The current account balance is anticipated to remain in deficit. On the upside, increases in tourism and remittance inflows, spurred by Timor-Leste's ASEAN accession and other high-profile events, are projected to support economic growth. However, growth in non-oil and gas exports will likely remain constrained due to the limited export base, still dominated by coffee. The ongoing challenges of limited domestic production will continue to drive demand for imports, worsening external imbalances.

Inflation is expected to decrease to 3.3 percent in 2024, driven by lower global commodity prices, particularly food, and the strengthening US dollar. This trend is expected to continue through 2025 and 2026. Despite the overall decline, the cumulative impact of high inflation over the past two years has been significant, particularly for the poor and vulnerable populations. However, the effect of recent developments on poverty remains uncertain, pending the results of a new Living Standards Survey scheduled for 2024.

The outlook is subject to several downside risks, including adverse weather events and rising food and energy prices due to geopolitical tensions. Low government absorptive capacity and inefficient investments pose a downside risk to the projected economic growth.

Timor-Leste should implement long-overdue reforms. The current government, with its strong mandate and a period of relative stability, could seize this moment to set the country on a path toward sustainable and diversified growth. Achieving a 5 percent growth target will depend on policies that support a more resilient economy. Structural reforms and fiscal consolidation are paramount and must be addressed concurrently to ensure long-term sustainability and development.

TABLE 2 Timor-Leste / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023e	2024f	2025f	2026f
Real GDP growth, at constant market prices	2.9	4.0	2.3	3.0	3.5	4.0
Private consumption	-2.7	14.0	3.0	4.8	4.9	5.0
Government consumption	2.9	-0.2	3.1	0.5	0.5	1.4
Gross fixed capital investment	-6.1	29.4	2.8	13.9	12.3	10.8
Exports, goods and services	79.3	30.3	4.5	4.0	2.5	2.5
Imports, goods and services	-9.0	22.8	4.3	6.0	5.0	5.0
Real GDP growth, at constant factor prices	3.9	3.8	2.4	3.0	3.5	4.0
Agriculture	5.5	5.4	1.6	2.9	2.9	2.9
Industry	-14.0	38.2	-10.4	2.4	2.4	2.4
Services	4.0	2.6	3.0	3.0	3.7	4.3
Inflation (consumer price index)	3.8	7.0	8.4	3.3	2.8	2.5
Current account balance (% of GDP)	9.7	16.3	-21.4	-46.7	-51.4	-55.4
Net foreign direct investment inflow (% of GDP)	4.4	1.7	1.7	1.7	1.7	1.6
Fiscal balance (% of GDP)[a]	-47.0	-60.7	-44.0	-47.1	-46.5	-49.8
Revenues (% of GDP)	45.5	43.4	42.3	39.6	38.3	35.6
Debt (% of GDP)	15.2	15.2	15.3	14.9	14.3	14.0
Primary balance (% of GDP)	-46.8	-60.5	-43.7	-46.9	-46.3	-49.7
International poverty rate ($2.15 in 2017 PPP)[b,c]	28.8	27.8	27.4	26.8	25.9	24.9
Lower middle-income poverty rate ($3.65 in 2017 PPP)[b,c]	72.9	72.1	71.9	71.3	70.7	69.9
GHG emissions growth (mtCO2e)	0.5	-0.9	-1.9	-2.3	-2.2	-1.9
Energy related GHG emissions (% of total)	10.1	10.6	11.4	12.3	13.3	14.5

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ The ESI is part of total revenue, while excess withdrawals from the PF is a financing item.
b/ Calculations based on EAPPOV harmonization, using 2007-TLSLS and 2014-TLSLS. Actual data: 2014. Nowcast: 2015-2023. Forecasts are from 2024 to 2026.
c/ Projection using annualized elasticity (2007-2014) with pass-through = 1 based on GDP per capita in constant LCU.

VIET NAM

Table 1	2023
Population, million	98.9
GDP, current US$ billion	429.7
GDP per capita, current US$	4346.8
International poverty rate ($2.15)[a]	1.0
Lower middle-income poverty rate ($3.65)[a]	4.2
Upper middle-income poverty rate ($6.85)[a]	19.7
Gini index[a]	36.1
School enrollment, primary (% gross)[b]	123.1
Life expectancy at birth, years[b]	74.6
Total GHG emissions (mtCO2e)	505.4

Source: WDI, Macro Poverty Outlook, and official data.
a/ Most recent value (2022), 2017 PPPs.
b/ Most recent WDI value (2022).

Viet Nam's real GDP is expected to grow by 6.1 percent in 2024, driven by a rebound in manufacturing and services exports. Domestic demand is growing more gradually, reflecting an ongoing recovery in consumer and investor confidence. Poverty is expected to decline from 3.9 percent in 2023 to 3.6 percent in 2024. Risks to the outlook are broadly balanced.

Key conditions and challenges

While Viet Nam is expected to revert to higher growth after several years of global economic turbulence thanks to a rebound in global trade, bank asset quality remains a concern amid increasing non-performing loans (NPLs) as provisioning for loan losses appears uneven among banks.

Viet Nam remains highly vulnerable to external shocks given its dependence on exports and foreign direct investments. In the medium to long term, the country faces structural challenges that could limit its growth potential including infrastructure gaps, environmental deterioration, low productivity in the domestic economy, and aging population.

Recent developments

Real GDP grew by 6.4 percent y/y in H1-2024, reflecting a rebound in exports and higher domestic demand. Merchandise exports increased by 16.9 percent y/y in H1-2024, fueled by stronger US demand, supporting manufacturing and export-oriented services. Meanwhile, consumer spending and private investments are recovering at a slower pace, with growth below pre-pandemic rates, affected by low consumer and investor confidence.

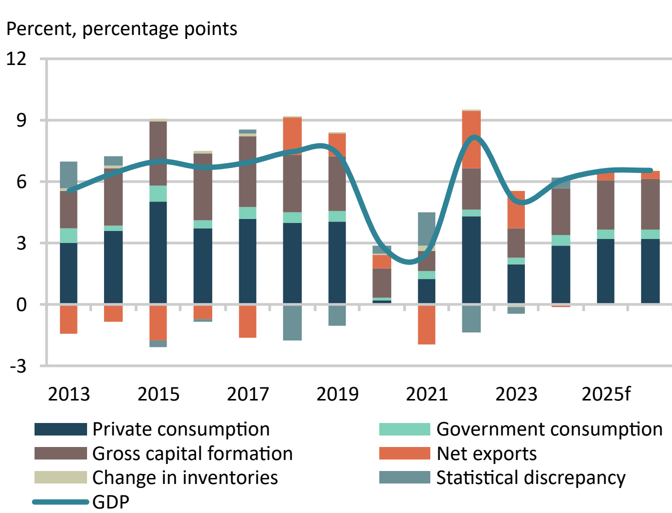
Headline inflation increased to 4.3 percent y/y by June 2024 due to elevated food prices as outbreaks of African swine fever affected pork prices, a main food item. Core inflation continued to decline, falling to 2.6 percent y/y in June 2024 from 4.3 percent y/y in June 2023.

Credit growth improved after a sluggish start to 2024, reaching 13.5 percent y/y by end-June, below the 15 percent target of the State Bank of Viet Nam (SBV)—driven by demand from manufacturing, trade, and real estate. At the same time, NPLs have grown from 1.9 percent in 2022 to 4.6 percent of total loans in 2023—largely due to the recognition of bad debts held by Saigon Joint Stock Commercial Bank—and could rise further with the end of the forbearance measures in December 2024.

Viet Nam's external position deteriorated due to increased unrecorded capital outflows. Continued interest rate differentials and the strengthening of the US dollar in H1-2024 exacerbated capital outflow. Seeking another investment instrument, domestic demand for gold sharply increased which, combined with supply controls, led to a substantial price premium that fueled informal gold imports and capital outflow.

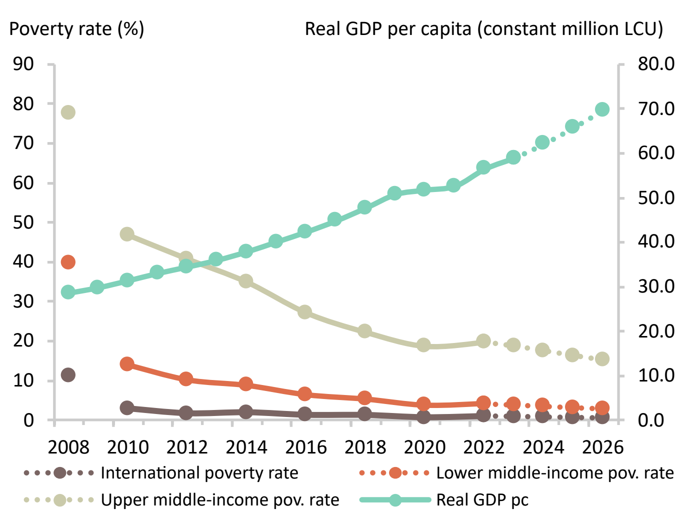
The SBV responded to emerging exchange rate pressures through a combination of gradual devaluation, FX interventions, and tighter liquidity. The SBV depreciated the central rate by 1.2 percent between January and June 2024, allowing the market rate to depreciate further by 3.6 percent in the same period. It used foreign exchange interventions, with reserves estimated to have fallen to around 2.7 months of imports. Tighter liquidity starting in March 2024 led to average

FIGURE 1 Viet Nam / Real GDP growth and contributions to real GDP growth



Sources: Viet Nam's General Statistics Office and World Bank staff estimates.

FIGURE 2 Viet Nam / Actual and projected poverty rates and real GDP per capita



Source: World Bank. Notes: see Table 2.

overnight interest rates rising from 0.9 percent in March to 2.8 percent in June.

Fiscal balances registered a large surplus of 4.2 percent in H1-2024, from 1.5 percent in H1-2023, due to higher public revenues and reduced public spending. Public revenues climbed to 19.5 percent of GDP in H1-2024 (+1pp compared to H1-2023) with CIT, VAT, and land sales revenue increasing. Public expenditures lowered to 15.4 percent of GDP (-1.5pp) due to lower capital expenditures. Only 29 percent of the approved budgeted expenditure for 2024 was implemented by end-June, driven by slow disbursement of investments due to delays in land clearance, scarce raw materials, and regulatory constraints.

Poverty rates using the lower middle-income country (LMIC) line of $3.65 PPP (and the upper middle-income country line of $6.85 PPP) are expected to continue their decline and are now below pre-pandemic levels. Despite stabilized unemployment and underemployment rates, rising food prices pose a risk to household purchasing power, particularly for lower-income households. Real income has been muted since 2022, inching up 2.7 percent annually on average, below pre-pandemic growth rates of 8.4 percent.

Outlook

Growth is forecast at 6.1 percent in 2024, rising to 6.5 percent in 2025 and 2026, reflecting expected continued export growth and improvements in investor and consumer sentiment. Headline inflation is forecast to reach 4.5 percent in 2024 following continued food price increases, before decelerating to 3.5 (Table 2) percent by 2026. Poverty is expected to continue declining and reach 2.9 percent by 2026 at the LMIC line. The current account balance is projected to register a small surplus during 2025-2026, driven by the continued growth of goods exports with contributions from tourism and transport services. The government is expected to maintain a tight fiscal policy especially as the economy returns to a higher-growth path.

The risks to the outlook are balanced. Among downside risks, the main uncertainties stem from slower-than-expected global growth, including from the United States, European Union, and China, and a slower recovery of the real estate sector. If banking sector asset quality were to weaken further, bank lending capacity could be undermined weighing on investment growth. Viet Nam also remains vulnerable to intensifying climate-related natural disasters. On the upside, stronger-than-expected global growth could spur further Vietnamese exports. A more accommodative monetary policy in major advanced economies could contribute to an easing of global financing costs, with positive spillovers into the banking and financial sector in Viet Nam.

In the short term, should downside risks to growth materialize and given limited room for additional monetary support, accelerating disbursement of public investment would support aggregate demand. To mitigate financial sector risks and vulnerabilities, the authorities could encourage banks to improve capital adequacy ratios and strengthen the institutional framework for prudential supervision and early interventions. Structural reforms—including in education and business environment to enhance productivity and competitiveness of the domestic economy, and vertical upgrading into high-value activities for trade—will be critical to long-term growth.

TABLE 2 Viet Nam / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2021	2022	2023	2024e	2025f	2026f
Real GDP growth, at constant market prices	2.6	8.1	5.0	6.1	6.5	6.5
Private consumption	2.2	7.7	3.5	5.3	5.9	5.9
Government consumption	4.5	3.6	3.8	5.5	5.4	5.4
Gross fixed capital investment	2.8	5.6	4.1	6.8	7.0	7.2
Exports, goods and services	13.9	6.2	-2.5	11.4	7.4	8.0
Imports, goods and services	15.8	3.3	-4.3	11.7	7.0	7.7
Real GDP growth, at constant factor prices	2.6	8.4	5.2	6.1	6.5	6.5
Agriculture	3.7	3.5	3.8	3.0	3.0	3.0
Industry	3.2	7.9	3.7	8.3	8.0	7.9
Services	1.7	10.1	6.8	5.1	6.0	6.2
Inflation (consumer price index)	1.8	3.1	3.2	4.5	4.0	3.5
Current account balance (% of GDP)	-2.2	0.3	5.8	0.9	1.0	1.0
Net foreign direct investment inflow (% of GDP)	4.2	3.7	4.7	4.4	4.4	4.4
Fiscal balance (% of GDP)	-1.4	0.7	-1.4	-0.8	-0.4	-0.2
Revenues (% of GDP)	18.8	19.1	17.2	17.2	16.8	16.4
Debt (% of GDP)	38.7	34.0	37.0	36.2	34.2	32.3
Primary balance (% of GDP)	-0.2	1.7	-0.6	0.1	0.4	0.6
International poverty rate ($2.15 in 2017 PPP)[a,b]	..	1.0	0.9	0.8	0.7	0.6
Lower middle-income poverty rate ($3.65 in 2017 PPP)[a,b]	..	4.2	3.9	3.6	3.2	2.9
Upper middle-income poverty rate ($6.85 in 2017 PPP)[a,b]	..	19.7	18.7	17.5	16.3	15.1
GHG emissions growth (mtCO2e)	-1.7	6.1	4.2	5.2	5.9	5.6
Energy related GHG emissions (% of total)	63.1	63.9	63.9	64.1	64.2	64.1

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices. Emissions data sourced from CAIT and OECD.
Notes: e = estimate, f = forecast.
a/ Calculations based on EAPPOV harmonization, using 2016-VHLSS, 2020-VHLSS, and 2022-VHLSS. Actual data: 2022. Nowcast: 2023. Forecasts are from 2024 to 2026.
b/ Projection using annualized elasticity (2016-2020) with pass-through = 0.7 based on GDP per capita in constant LCU.

Macro Poverty Outlook

10/
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